2026

TXTAIRE OPC

CODE

OF

DISCIPLINE

Series 2, 2026 Edition

Mission & Vision.

MISSION

TXTAIRE Refrigeration and Air-Conditioning Services is committed to attain and maintain a high standard of service through **hard work and efficiency**. Also, to attain and maintain a long lasting harmonious relationship with clients and workplace.

VISION

Our entire search for service to our fellow is based on the integrity of all those who are part of the company. We believe likewise that the call for today's society is for every person to have justice and to have equal opportunity to participate in Nation Building, hence our company is appreciated and mandated for our **diligence, determination and dedication to duty**.

VALUES

To achieve its mission and vision, our company must put into reality its vision and mission through the values it exercises, while giving quality service.

RESPECT • UNITY • COMMITMENT • INNOVATION • LOYALTY • HONESTY

TXTAIRE OPC
OPERATIONS MANUAL

Chapter	PERSONNEL	Entry No.	A-01
Section	DISCIPLINE	Annex	A
Entry Title	CODE OF DISCIPLINE	Edition	Series 2, 2026
Original Issue	February 5, 2025	Revised On	August 28, 2026
Supersedes	Series 1, 2025 Edition	Effectivity	Thirty (30) days from posting and distribution
Prepared by	Human Resources Department	Approved by	THE MANAGEMENT

Why this edition was issued

This Series 2, 2026 Edition replaces the Series 1, 2025 Edition of the TXTAIRE OPC Code of Discipline in its entirety. It was issued for four reasons:

- **To match the size of the Company.** TXTAIRE OPC currently employs about twenty (20) people and expects to grow to about one hundred (100) within the next year. The previous edition assumed a large organisation with several layers of managers. This edition sets out procedures that a twenty-person company can actually carry out today, and that will still work at one hundred.
- **To make the penalties fair and proportionate.** A number of offenses in the previous edition carried dismissal on the very first commission, or suspensions of thirty (30) days, even for lapses that caused no loss to the Company. Penalties in this edition are graduated: light offenses are corrected, and dismissal is reserved for the serious causes recognised by law.
- **To comply with the Labor Code and current DOLE regulations.** Provisions that exposed the Company to legal risk have been removed, including the imposition of fines and the withholding of pay for hours actually worked. Procedural due process has been written out in full, following the twin-notice rule.
- **To state the Company's ethical standards in writing.** Part II of this Code is new. It states plainly what TXTAIRE expects of every employee before any question of discipline arises.

READING THIS CODE

This Code is written to be read by everyone, not only by lawyers and managers. If any provision of this Code is unclear to you, or appears to conflict with your employment contract or with law, ask the Human Resources Department. Where any provision of this Code conflicts with the Labor Code of the Philippines, its Implementing Rules, or an issuance of the Department of Labor and Employment, the law prevails and this Code shall be read as amended accordingly.

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Summary of Changes NEW

This section is a map of what moved between the Series 1, 2025 Edition and this one. It is provided so that HR, management and any reviewer can see the changes without reading both editions side by side, and so that employees can see plainly that no change in this edition makes their position worse.

Throughout this document, the following markers appear beside a Part, a section heading, or an offense:

MARKER	WHAT IT MEANS WHERE YOU SEE IT
NEW	This provision did not exist in the Series 1, 2025 Edition. It is new in this edition.
REVISED	This provision existed in the previous edition but has materially changed — usually a lighter penalty, a corrected legal position, or a procedure the previous edition did not spell out. In the offense tables this appears as REV.
WITHDRAWN	This provision existed in the previous edition and has been withdrawn. Where a withdrawal has legal consequences, the reason is stated in full at Section 3.12.

A. Penalties that were reduced

Every change in this group makes the Code lighter on the employee. None of them removes the Company's ability to act; each replaces an automatic dismissal or a very long suspension with a graduated response.

OFFENSE	SERIES 1, 2025 EDITION	SERIES 2, 2026 EDITION
Fighting on company premises REVISED	Dismissal on the 1st offense.	Class C — 7-day suspension, then 15 days, then dismissal. Dismissal on the 1st offense is kept only where serious injury results, a weapon is used, or the employee was the instigator (Sec. 4.7).
Gambling on premises REVISED	Dismissal on the 1st offense.	Class B — written warning, then 3 days, 7 days, dismissal (Sec. 4.7).
Intrigues and malicious rumours REVISED	15-day suspension, then dismissal.	Class B (Sec. 4.7).
Borrowing from, or soliciting from, a subordinate REVISED	Dismissal on the 1st offense.	Class C, unless coercion or abuse of authority is shown, in which case Sec. 4.8 applies (Sec. 4.7).
Failure to report an accident or unsafe condition REVISED	30-day suspension, then dismissal.	Class B. A severe penalty here suppresses the reporting the rule exists to produce (Sec. 4.3).
Willful disobedience of a safety instruction REVISED	30-day suspension, then dismissal.	Class D where the act exposes a person to death or serious injury; Class B where it was inadvertent and caused no injury (Sec. 4.3).
Drinking alcohol on premises REVISED	15-day suspension, then dismissal.	Class C; Class D only for safety-critical roles — driving, work at height, energised equipment (Sec. 4.3).
Gross discourtesy to any person REVISED	15 days, 30 days, then dismissal.	Class B for discourtesy to a client; Class D only where a client account or the Company's reputation is seriously damaged (Sec. 4.7).
Negligence causing loss REVISED	Tiers began at ₱200.	Tiers begin at ₱5,000 and step at ₱30,000. ₱200 is no longer a meaningful amount (Sec. 4.4).
Insubordination REVISED	10 days, 15 days, then dismissal.	Class C, and the Code now states the three things that must be shown before an order counts as one that was disobeyed (Sec. 4.4).

OFFENSE	SERIES 1, 2025 EDITION	SERIES 2, 2026 EDITION
Uniform and grooming, phone availability, housekeeping, tardiness REVISED	Mixed schedules, some rising to dismissal.	All Class A — corrected by warning first (Sec. 4.1, 4.3, 4.4).
Longest suspension available REVISED	Up to 30 days, imposed as a penalty.	Capped at 15 working days. A 30-day penalty suspension invites a constructive-dismissal finding (Sec. 3.2).
Off-duty conduct away from company premises REVISED	A fight outside the premises unconnected to work drew 15 days, then dismissal.	Outside the scope of this Code altogether, unless connected to work, committed against the Company, a co-employee or a client, or demonstrably damaging to the business (Sec. 1.1).

B. Provisions withdrawn as contrary to law

Each of the following appeared in the Series 1 Edition and is withdrawn. They are set out in full at Section 3.12 so that the reason is on the record.

PROVISION	SERIES 1, 2025 EDITION	SERIES 2, 2026 EDITION
Pay withheld for a missed time entry WITHDRAWN	An employee who forgot to punch in or out "shall be marked absent and without pay for that day."	Withdrawn. An employee who actually rendered work must be paid for it. The entry is corrected on a Time Correction Form certified by the immediate superior, and the lapse is a Class A offense at most (Sec. 3.12, Sec. 4.2).
The ₱500 fine and confiscation of the phone WITHDRAWN	A ₱500 fine and confiscation of the unit for failing to keep a company phone reachable.	Withdrawn. A fine is not among the deductions Article 113 of the Labor Code permits. The offense remains, as Class A, with no fine (Sec. 3.12, Sec. 4.4).
Two months' salary for short resignation notice WITHDRAWN	An employee who failed to serve 30 days' notice was "liable for liquidated damages equivalent to at least two (2) months' salary."	Withdrawn. Actual damage must be proved in the proper forum. Final pay and the Certificate of Employment may never be withheld over short notice (Sec. 6.4).
On-the-spot drug testing WITHDRAWN	The Company could test on suspicion and compel a sample on the spot.	Withdrawn. Testing goes through a DOH-accredited laboratory with a confirmatory test and a right to challenge, per RA 9165 and DO 53-03 (Sec. 5.8).
Termination of probationary employees at will WITHDRAWN	The Company had "absolute discretion to terminate at any time."	Withdrawn. Separation requires either a just or authorized cause with due process, or failure to meet standards communicated in writing at engagement, with 5 days' notice (Sec. 1.4).
Restitution by deduction REVISED	Deduction from wages was assumed.	Permitted only on the employee's written authorization, capped at 20% of net pay per period, never below minimum wage. Refusing to authorize a deduction is not an offense (Sec. 3.12).

C. What is new in this edition

ADDED	SERIES 1, 2025 EDITION	SERIES 2, 2026 EDITION
Part II — Company Ethical Standards NEW	The previous edition had no statement of ethical standards.	A full Part: values in practice, standards of business conduct, conflict of interest with a duty to declare, a ₱1,000 gift ceiling with solicitation banned outright, confidentiality and Data Privacy Act duties, client-site conduct, respect in the workplace, social media, and a reporting channel protected against retaliation.

ADDED	SERIES 1, 2025 EDITION	SERIES 2, 2026 EDITION
Sec. 3.4 — one Schedule of Penalties NEW	Penalties were written per offense, with no stated scheme, so like offenses drew unlike penalties.	Four classes (A Light, B Less Grave, C Grave, D Serious) and a single penalty table for the whole Code. Each offense simply carries a class.
Sec. 3.5 — mitigating and aggravating circumstances NEW	None. The schedule was applied mechanically.	Nine mitigating and nine aggravating circumstances, with the power to move one step in either direction, recorded in writing on the Case Evaluation Form.
Sec. 3.6 — due process in full NEW	Referred to a hearing, without stating the notices, their contents, or the periods.	The twin-notice rule set out step by step per Article 292(b) and DO 147-15: what the Notice to Explain must contain, a minimum of five calendar days to answer, the conference, the decision notice.
Sec. 3.7 — panel scaled to headcount REVISED	A 3-manager Administrative Hearing Committee for every case — unworkable at twenty employees.	Supervisor and HR handle Class A and B; a three-member panel convenes only for Class C, Class D and any case where dismissal is considered, with disqualification rules.
Sec. 3.11 — prescription and clearing of records NEW	Not addressed.	A 60-day period to commence a proceeding (one year for fraud, dishonesty, harassment and violence), and penalties cleared from the progression after 12 clean months.
Sec. 3.13 — employee rights NEW	Not stated.	Eight rights that no provision of the Code may be read to waive, including the right to bring a grievance to the DOLE or the NLRC without reprisal.
Sec. 4.8 — supervisor and manager accountability REVISED	Two offenses (failure to disseminate, failure to report).	Eleven, including informal punishment imposed outside the Code, misuse of preventive suspension, concealing a harassment report, and retaliation.
Sec. 5.7 to 5.10 NEW	Not addressed.	Occupational safety and health (RA 11058), the drug-free workplace programme, anti-sexual harassment and the CODI (RA 7877 and RA 11313), mental health and non-discrimination in health (RA 11036, RA 11166).
Annexes A to G NEW	No forms.	Notice to Explain, employee written explanation, notice of conference, case evaluation form, notice of decision, a compliance checklist keyed to headcount, and the employee acknowledgment.

D. Benefits and standards brought up to current law

AREA	SERIES 1, 2025 EDITION	SERIES 2, 2026 EDITION
Maternity leave REVISED	Referred generally to "existing laws."	105 days with full pay, 120 for a qualified solo parent, 60 for miscarriage, with 7 transferable days (RA 11210).
Solo parent leave REVISED	7 days, citing the superseded law.	7 working days under RA 11861, with the ID requirement stated.
Leave for victims of violence NEW	Not provided.	10 days with pay under RA 9262, with a confidentiality duty.
Special leave for women NEW	Not provided.	Up to two months following gynaecological surgery (RA 9710).
Bereavement leave NEW	Not provided.	Three days with pay, as a company benefit.
Grace period REVISED	10 minutes; excessive tardiness at 260 minutes a month.	15 minutes, in recognition of travel to Laguna, Manila and client sites; excessive tardiness at 300 minutes a month.

AREA	SERIES 1, 2025 EDITION	SERIES 2, 2026 EDITION
Sick leave REVISED	A medical certificate was required for every sick leave.	Required for absences of three or more consecutive days. A missing certificate for a shorter absence no longer converts an excused absence into an unauthorized one.
Overtime REVISED	Unauthorized overtime was simply not payable.	Overtime the immediate superior knew of and allowed must be paid; the missing authorization is a Class A matter at most (Sec. 5.2).
Final pay and Certificate of Employment NEW	Not addressed.	Final pay within 30 days (Labor Advisory 06-20); a Certificate of Employment within 3 days of request, never conditioned on signing a quitclaim (Sec. 6.5).
Poor performance NEW	Treated together with misconduct.	Separated: a written Performance Improvement Plan with at least 60 days, not discipline (Sec. 6.2).

NOTHING IN THIS EDITION REDUCES AN EXISTING BENEFIT

Article 100 of the Labor Code prohibits the elimination or diminution of benefits employees already enjoy. Every change listed above either lightens a penalty, adds a protection, adds a benefit, or corrects a provision that was unlawful. No entitlement that existed under the Series 1 Edition has been reduced or withdrawn by this edition.

Where a provision of the previous edition was withdrawn, it was withdrawn because it took something from the employee that the law does not allow the Company to take.

PART I INTRODUCTION AND GENERAL POLICIES

1.1 Objective and Scope

This Code of Discipline is a compilation of the personnel policies, work rules and disciplinary procedures in effect at TXTAIRE OPC. Its purpose is to tell every employee, in plain terms, what the Company expects, what happens when those expectations are not met, and what rights an employee has when a complaint is made against them.

This Code covers all employees of TXTAIRE OPC — probationary, regular, project-based, fixed-term and part-time — whether assigned to the Laguna office, the Manila office, or to any client site. It applies during working hours, while on official business or call-out, while using company property or vehicles, and while inside company or client premises.

Conduct outside working hours and away from company and client premises is a private matter and is not covered by this Code, except where the conduct is directly connected to the employee's work, is committed against the Company, a co-employee or a client, or causes demonstrable damage to the Company's business or reputation.

1.2 Responsibility for Implementation

The Human Resources Department (HRD) shall administer this Code. HRD is responsible for distributing it, explaining it during orientation, keeping the disciplinary records of all employees, ensuring that due process is observed in every case, and reviewing this Code at least once a year.

Supervisors and Department Heads shall ensure that the employees under them have read and understood this Code, shall correct minor lapses promptly and informally where that is enough, and shall report violations to HRD within five (5) working days from the time the violation comes to their knowledge. A supervisor who sits on a known violation is himself or herself accountable under Section 4.8.

Every employee is responsible for reading this Code, asking about anything unclear, and following it. Ignorance of a provision of this Code is not a defence, but HRD must be able to show that the Code was actually distributed and explained.

1.3 Equal Employment Opportunity and Non-Discrimination NEW

TXTAIRE OPC provides equal opportunity in employment. The Company shall not discriminate against any employee or applicant on the basis of sex, gender identity or expression, sexual orientation, age, civil or marital status, pregnancy, religion, political belief, ethnicity, indigenous origin, disability, health status including HIV, Hepatitis B or tuberculosis status, or solo parent status.

This policy applies to hiring, compensation, benefits, training, assignment, promotion, transfer, discipline and separation. It is supported by Republic Act No. 6725 and Article 133 of the Labor Code (women), Republic Act No. 10911 (age), Republic Act No. 7277 as amended (persons with disability), Republic Act No. 11166 (HIV and AIDS), Republic Act No. 11036 (mental health), and Republic Act No. 11861 (solo parents).

An employee who believes they have been discriminated against may raise the matter under Section 2.10. Discrimination by a supervisor or manager is a serious offense under Section 4.8.

1.4 Policy on Probationary Employment REVISED

The probationary period shall not exceed six (6) months from the date the employee actually started working, except where a longer period is allowed by law or is required by an apprenticeship or training agreement.

At the time of engagement, and in writing, the Company shall inform the probationary employee of the reasonable standards they must meet in order to qualify as a regular employee. Where the Company fails to communicate those standards at the start, the employee shall be deemed a regular employee from day one.

The immediate superior shall evaluate the probationary employee in writing at least twice during the period — at or about the third month and again before the end of the fifth month — and shall discuss each evaluation with the employee so that any shortfall can still be corrected.

A probationary employee may be separated (a) for a just or authorized cause, following the procedure in Section 3.6, or (b) for failure to meet the communicated standards for regularization. In the second case, the Company shall serve a written notice stating which standards were not met, at least five (5) days before the intended date of separation. A probationary employee is entitled to due process; the Company does not have unqualified discretion to terminate at will.

An employee who is allowed to work beyond the six-month probationary period becomes a regular employee by operation of law.

1.5 Definition of Terms

TERM	MEANING IN THIS CODE
Company	TXTAIRE OPC, and any entity owned or managed by it.
Employee	Any person employed by the Company, of whatever status or classification.
Offense	An act or omission that violates this Code, a lawful company policy or instruction, or the law.
Verbal Warning (VW)	A documented spoken correction given in private by the immediate superior, recorded in writing and filed with HRD.
Written Warning (WW)	A formal written notice of the violation, stating that a repetition will draw a heavier penalty. Filed in the employee's 201 file.
Suspension (S)	A temporary cessation of work as a penalty, without pay, for a stated number of working days. Expressed in this Code as "3d", "7d" or "15d".
Preventive Suspension	A temporary removal from the workplace during an investigation. It is NOT a penalty and is governed by Section 3.8.

TERM	MEANING IN THIS CODE
Dismissal (D)	Termination of employment for a just cause, ending the employer-employee relationship.
NTE	Notice to Explain — the first of the two written notices required by law (Annex A).
Panel	The Administrative Review Panel constituted under Section 3.7.
201 File	The employee's permanent personnel record kept by HRD.
Working day	A day on which the employee is scheduled to work, excluding rest days and holidays.

1.6 Manual Revisions and Suggestions

The Company may revise this Code whenever it develops a more practical or efficient procedure, or whenever a change in law requires it. Revisions shall be issued in writing, posted, distributed to all employees and to every site, and shall take effect thirty (30) days after distribution. No revision shall diminish a benefit that employees are already enjoying, and no revision shall apply retroactively to an offense already committed.

Employees are encouraged to submit suggestions to improve this Code. Suggestions may be given to HRD in writing or by e-mail, and may be submitted anonymously.

PART II COMPANY ETHICAL STANDARDS NEW

Discipline begins with a shared understanding of what is right. This Part states the ethical standards that TXTAIRE OPC expects of every employee, officer and director. It applies to everyone regardless of rank. Where an act described in this Part is also listed as an offense in Part IV, it is dealt with under Part IV; where it is not, it remains a standard the Company expects you to meet, and a supervisor may address a shortfall through coaching.

2.1 Our Values in Practice NEW

The Company's six values are not decorations. Each one has a practical meaning at work:

RESPECT	We treat every co-employee, client, supplier and member of the public with courtesy — including when we disagree, when we are under pressure, and when no one is watching.
UNITY	We do not undermine a co-employee. We share information a colleague needs to do their job, and we correct problems rather than assign blame.
COMMITMENT	We do what we said we would do, on the date we said we would do it. If we cannot, we say so early rather than late.
INNOVATION	We look for a better way of doing the work, and we raise it. A suggestion that is refused is never held against the person who made it.
LOYALTY	We protect the Company's and the client's interests, information and property as if they were our own, and we do not use our position for private gain.
HONESTY	We report the truth in our timesheets, service reports, liquidations and expense claims — even when the truth reflects badly on us.

2.2 Standards of Business Conduct NEW

Every employee shall:

- Comply with the laws of the Republic of the Philippines, with this Code, and with the lawful policies and instructions of the Company.

- Perform assigned work competently, safely and on time, and report honestly on what was done.
- Deal fairly with clients, suppliers, contractors, co-employees and competitors. No employee shall take unfair advantage of anyone through manipulation, concealment, abuse of confidential information or misrepresentation.
- Keep accurate records. No employee shall create a false or misleading entry in any company or client record, and no employee shall instruct another to do so.
- Refuse and report any bribe, kickback or improper payment, whether offered or solicited, and whether given in cash, in kind, or as a favour.
- Raise a concern about a possible violation rather than stay silent, using the channels in Section 2.10.

2.3 Conflict of Interest NEW

A conflict of interest arises whenever an employee's private interest could improperly influence — or could reasonably appear to influence — the way they do their job for the Company.

The following must be declared in writing to HRD within fifteen (15) days of engagement, or within fifteen (15) days from the moment the situation arises, whichever is later:

- Any financial or ownership interest in a supplier, contractor, competitor or client of the Company, other than shares of a publicly listed company held as an ordinary investment.
- Any outside employment, consultancy, sideline or business, whether or not it competes with the Company.
- Any close personal relationship — spouse, partner, parent, child, sibling, or a relative within the fourth civil degree — with a co-employee whom the employee supervises or evaluates, or with a person employed by a supplier, contractor or client with whom the employee deals on the Company's behalf.
- Any position held in an organisation that transacts with the Company.

Declaring a conflict is not itself a violation and is never a ground for discipline. Failing to declare it is. Once declared, HRD and the Department Head shall agree on a reasonable arrangement — usually removing the employee from decisions on that matter — and record it in writing.

WHY THIS MATTERS AT OUR SIZE

In a company of twenty people who are growing to a hundred, an employee will often know a supplier personally, and a relative may well apply for a job. None of that is wrong. What is wrong is deciding on a purchase, a hiring, or a contract while holding an undisclosed private interest in the outcome. Declare it, step aside from the decision, and there is no problem.

2.4 Gifts, Commissions and Entertainment NEW

No employee shall solicit any gift, commission, discount, loan, service or favour from a client, supplier, contractor or applicant, in any amount, at any time. Soliciting is always prohibited.

An unsolicited gift may be accepted only if all of the following are true: it is of nominal value not exceeding One Thousand Pesos (P1,000.00); it is not cash or a cash equivalent such as a gift card, load or e-wallet transfer; it is not given in connection with a pending bid, quotation, evaluation or claim; and it is customary, such as a token given during the Christmas season.

A gift that exceeds this limit, or that is offered during a pending transaction, shall be politely declined. Where declining would cause offence or is impractical, the employee shall accept it on behalf of the Company, report it to HRD within three (3) working days, and turn it over. HRD shall keep a register of gifts received and turned over.

Modest business meals and refreshments taken in the ordinary course of a client visit are not gifts and need not be reported.

Accepting money or anything of value in consideration of an act relating to one's work is bribery. It is a serious offense under Section 4.4 and may also be a crime.

2.5 Confidentiality and Data Privacy NEW

In the course of work, employees come to know information that belongs to the Company or to its clients — pricing and costing, quotations and bids, client lists, equipment inventories and site layouts, technical drawings, service histories, security arrangements, and the personal data of co-employees and of clients' personnel.

Employees shall use such information only for the purpose for which it was given to them, shall not disclose it to anyone who does not need it for their work, and shall not retain, copy or take it out of the Company on separation. This obligation continues after employment ends.

The Company processes personal data in accordance with Republic Act No. 10173, the Data Privacy Act of 2012. Employees who handle the personal data of co-employees, applicants, clients or client personnel shall collect only what is necessary, keep it secure, and not disclose it without authority. A suspected personal data breach — a lost phone or laptop, a misdirected e-mail containing personal data, an unauthorized access — shall be reported to HRD immediately and in any case within twenty-four (24) hours, so the Company can meet its own reporting deadlines to the National Privacy Commission.

Photographs and video taken inside a client's premises frequently capture a client's systems, security arrangements or personnel. No employee shall take or post such images without the client's permission.

2.6 Company Property and Resources NEW

Tools, instruments, gauges, refrigerant, spare parts, service vehicles, mobile phones, laptops, uniforms and personal protective equipment are issued for company work and remain the property of the Company. Employees shall use them with care, keep them secure, return them on separation or on demand, and report loss or damage immediately.

Incidental personal use of a company phone or computer is tolerated so long as it is reasonable, does not interfere with work, does not incur material cost to the Company, and does not involve anything unlawful or offensive. Company vehicles are for company use only and may not be used for personal errands without written approval.

Employees have no expectation of privacy in company-issued equipment, e-mail accounts and systems. The Company may access and review them for a legitimate business purpose, subject to the Data Privacy Act.

2.7 Conduct Towards Clients and the Public NEW

Most employees of TXTAIRE work inside a client's building. To the client, the employee on site is the Company. Accordingly, every employee on a client site shall:

- Observe the client's house rules, security procedures and safety requirements, in addition to the Company's own.
- Be in the prescribed uniform with the company ID visibly worn.
- Confine themselves to the work area and the areas needed to reach it, and not enter restricted areas without the client's consent.
- Not solicit work, tips, commissions, loans or side jobs from the client, the client's staff or the client's tenants.
- Not discuss the Company's pricing, internal problems, or another client's affairs with a client.
- Refer any client complaint or request outside the scope of the job order to the immediate superior rather than agreeing to it on the spot.

2.8 Respect in the Workplace NEW

Every employee has the right to work free from harassment, bullying and intimidation. The Company will not tolerate sexual harassment in any form, gender-based harassment whether committed in person or online, bullying, hazing, slurs directed at a person's sex, gender, religion, ethnicity, age, health status or disability, or the deliberate humiliation of a subordinate.

The right to give an instruction, to set a standard, to correct poor work and to impose discipline under this Code is not harassment. Harassment is conduct that is directed at the person rather than the work, and that a reasonable person would find intimidating, hostile, offensive or degrading.

The specific procedure for sexual harassment and gender-based harassment complaints is in Section 5.9. It is separate from, and takes precedence over, the ordinary procedure in Part III.

2.9 Social Media and Public Communication NEW

Employees are free to use social media in their private capacity. The Company does not monitor personal accounts and does not restrict lawful personal expression, including comment on labour matters, which is protected activity.

What employees may not do is: post confidential company or client information; post photographs or video taken inside client premises without permission; post material that identifies a client and disparages it; impersonate the Company or appear to speak for it without authority; or post material that harasses, threatens or defames a co-employee, a client or the Company.

Only the Owner, the General Manager, or a person they designate in writing may speak for TXTAIRE OPC to the media, to a government agency in an official proceeding, or on the Company's official accounts.

2.10 Reporting Concerns and Protection from Retaliation NEW

An employee who becomes aware of a violation of this Code, of a company policy, or of the law, should report it. A report may be made to any of the following, and the employee may choose whichever they are most comfortable with:

- **the immediate superior** — for ordinary work-rule and safety matters;
- **the Human Resources Department** — for any matter, including one involving the employee's own superior;
- **the Owner or General Manager** — where the report concerns HRD itself or a member of management;
- **the Committee on Decorum and Investigation** — for sexual harassment and gender-based harassment, under Section 5.9.

Reports may be made in writing, by e-mail, or verbally. A report may be made anonymously, although an anonymous report is harder to act on because the Company cannot ask follow-up questions.

The identity of a person who reports in good faith shall be kept confidential and disclosed only to those who need to know in order to investigate, or where disclosure is required by law or by the requirements of due process owed to the person complained of.

NO RETALIATION

No employee shall be dismissed, suspended, demoted, transferred, denied a benefit, given a poorer evaluation, excluded from overtime, or in any way disadvantaged because they reported a possible violation in good faith, filed a complaint, or took part in an investigation.

Retaliation is itself a serious offense punishable by dismissal under Sections 4.7 and 4.8. It is a violation even if the original report turns out to be mistaken, so long as the report was made in good faith.

A report that the reporting employee knows to be false is not made in good faith and is itself an offense.

PART III THE DISCIPLINARY PROCESS

3.1 Principles of Corrective Discipline NEW

The purpose of discipline at TXTAIRE OPC is to correct behaviour, not to punish a person. Five principles govern every case:

- **Correction first.** Where a lapse is minor and the employee is willing to correct it, the Company will coach and warn before it suspends. Suspension and dismissal are for conduct that warning has failed to correct, or that is serious enough on its own.
- **Proportionality.** The penalty must fit the offense — its gravity, the loss or risk it caused, whether it was deliberate, and the employee's record. A penalty that is grossly out of proportion to the offense is not lawful discipline.
- **Consistency.** Two employees who commit the same offense in the same circumstances receive the same penalty. Where the Company treats a case differently, the reason must be recorded in writing.
- **Due process.** No penalty of any kind is imposed until the employee has been told in writing what they are accused of and has been given a real opportunity to answer.
- **Documentation.** Every disciplinary action, including a verbal warning, is recorded in writing and filed with HRD. An action that is not documented did not happen, and cannot later be counted as a prior offense.

3.2 Disciplinary Actions Defined REVISED

ACTION	WHAT IT MEANS
Verbal Warning (VW)	The immediate superior speaks to the employee in private, explains what was wrong and what is expected, and confirms it in a short written record signed by both and sent to HRD. No loss of pay.
Written Warning (WW)	HRD issues a formal memorandum stating the violation, the correction required, and that a repetition will draw a heavier penalty. The employee acknowledges receipt. Refusal to sign is annotated by a witness and does not invalidate the notice. No loss of pay.
Suspension (3d / 7d / 15d)	The employee does not report for work for the stated number of working days and is not paid for those days. The penalty shall not exceed fifteen (15) working days for any single offense. Dates are set by HRD in coordination with the Department Head, within thirty (30) days from the notice of decision, and arranged so as not to leave a client site unmanned.
Dismissal (D)	Termination of employment for a just cause under Article 297 of the Labor Code. Reserved for Class D offenses and for the final step of the Class B and Class C progressions.

A SUSPENSION IS NEVER LONGER THAN FIFTEEN DAYS

The previous edition of this Code allowed suspensions of thirty (30) days as an ordinary penalty. A suspension of that length, imposed as a penalty, is difficult to defend and risks being treated as a constructive dismissal. Under this edition the longest penalty short of dismissal is fifteen (15) working days.

This is separate from PREVENTIVE suspension under Section 3.8, which is not a penalty and which the law separately caps at thirty (30) days.

3.3 Classification of Offenses NEW

Every offense listed in Part IV is assigned to one of four classes. The class determines the penalty; the employee's record determines which step of the progression applies.

CLASS	WHAT BELONGS IN THIS CLASS

CLASS	WHAT BELONGS IN THIS CLASS
A Light	A lapse in work rules or routine that causes no loss and no risk to any person. Corrected by warning. Examples: tardiness, incomplete uniform, untidy work area, late reports.
B Less Grave	A violation that disrupts work, causes a small loss, or shows disregard of a rule that matters. Examples: no-call absence, failure to wear PPE, discourtesy to a client, gambling on premises.
C Grave	A violation that causes substantial loss or risk, or that strikes at the working relationship, but that does not necessarily destroy trust beyond repair. Examples: willful disobedience, fighting, negligence causing a loss above P5,000, bullying.
D Serious	Conduct amounting to a just cause for dismissal under Article 297 of the Labor Code — serious misconduct, willful disobedience of a grave order, gross and habitual neglect, fraud or willful breach of trust, or a crime against the Company or its people. Examples: theft, falsification, sexual harassment, bribery, drugs on premises.

3.4 Schedule of Penalties NEW

The following table is the single schedule of penalties for the whole Code. Offenses are counted within a rolling twelve (12) month period reckoned from the date of the first offense, and only offenses of the same class are counted together.

CLASS	NATURE	1st OFFENSE	2nd OFFENSE	3rd OFFENSE	4th OFFENSE
A	Light	Verbal Warning	Written Warning	3-day suspension	7-day suspension
B	Less Grave	Written Warning	3-day suspension	7-day suspension	**DISMISSAL**
C	Grave	7-day suspension	15-day suspension	**DISMISSAL**	—
D	Serious	**DISMISSAL**	—	—	—

Notes on the schedule:

- Suspension is counted in working days, not calendar days.
- A fifth Class A offense within the same twelve-month period is dealt with under Section 3.10 (Habitual Delinquency).
- Offenses of different classes are not added together in the progression, but a record of offenses across classes is relevant under Sections 3.5 and 3.10.
- Where the same act violates more than one provision of this Code, only the highest applicable penalty is imposed. An employee is not penalised twice for one act.
- Where an offense is committed in the same incident as another, related offense, the two shall be treated as one offense for the purpose of the progression.

3.5 Mitigating and Aggravating Circumstances NEW

The schedule in Section 3.4 is the normal penalty. It is not a machine. Before imposing a penalty the Panel and HRD shall consider whether the circumstances justify moving one step down, or one step up, and shall record the reason in the Case Evaluation Form.

MITIGATING — may justify a lighter penalty	AGGRAVATING — may justify a heavier penalty

MITIGATING — may justify a lighter penalty	AGGRAVATING — may justify a heavier penalty
• The offense is the employee’s first in any class. • Length of clean service with the Company. • The employee voluntarily reported their own violation before it was discovered. • The employee made full restitution or corrected the error promptly. • The act was a genuine error of judgment rather than a deliberate choice. • The employee was acting under a superior’s instruction, or under a genuine misunderstanding of the rule. • No loss, injury or client complaint resulted. • The rule had not previously been clearly communicated or consistently enforced. • Personal circumstances of a compelling nature (serious illness of the employee or an immediate family member, calamity, bereavement).	• The act was deliberate, planned or repeated. • The employee holds a position of trust, or is a supervisor or manager. • The offense caused actual loss, injury, or the loss of a client account. • The employee attempted to conceal the act, destroyed evidence, or gave false statements during the investigation. • The offense was committed against a co-employee of lower rank, or against a client. • The offense was committed while already serving a penalty or on preventive suspension. • The employee involved or induced others to take part. • The offense endangered the life or safety of any person. • The employee had been warned about the same conduct before.

Two limits apply. First, mitigating circumstances may reduce a penalty by one step, but they cannot convert a Class D offense involving theft, fraud, sexual harassment or violence into a mere warning; where the Panel believes a Class D offense warrants less than dismissal, it must say so in writing and the decision rests with the Owner or General Manager. Second, aggravating circumstances may raise a penalty by one step, but a first offense in Class A can never be escalated directly to dismissal.

3.6 Due Process: The Twin-Notice Rule NEW

No employee shall be suspended or dismissed without the following procedure, which follows Article 292(b) of the Labor Code and Department Order No. 147-15. The Company bears the burden of proving both that there was a valid cause and that this procedure was followed.

Step 1 — Report and initial assessment

The immediate superior reports the incident to HRD in writing within five (5) working days of learning of it. HRD makes an initial assessment of whether the reported facts, if true, would constitute an offense under this Code. If they would not, HRD closes the matter and informs the reporting supervisor in writing. If they would, HRD proceeds to Step 2.

Step 2 — First notice: Notice to Explain (Annex A)

HRD serves the employee a written Notice to Explain. The NTE must state:

- the specific acts or omissions complained of, including the date, time and place of each;
- the specific provisions of this Code or company rules said to have been violated;
- that the employee is being given the opportunity to explain and to submit evidence and witnesses;
- that dismissal is being considered, where that is the case; and
- the deadline for the written explanation, which shall be not less than five (5) calendar days from receipt.

The NTE is served personally against signature. If the employee refuses to receive or to sign, the fact is annotated in the presence of a witness and a copy is sent to the employee’s last known address by registered mail or courier. A general statement such as "you violated company rules" is not a valid NTE.

Step 3 — The employee's written explanation

The employee has at least five (5) calendar days to submit a written explanation (Annex B), and may attach documents and name witnesses. HRD shall grant a reasonable extension on request where the employee needs more time to gather evidence, is on approved leave, or is ill. An employee may seek the assistance of a representative or counsel of their own choosing, at their own expense.

Step 4 — Administrative conference

An administrative conference shall be held where the employee requests one, where the facts are disputed, or where dismissal is being considered. It is a conference, not a trial: the technical rules of evidence do not apply. Its purpose is to let the employee confront the accusation, explain, present witnesses and answer questions. HRD gives written notice of the schedule at least three (3) working days in advance (Annex C) and keeps minutes signed by those present.

Where the employee, after due notice, does not appear and gives no valid reason, the case is decided on the records. The Company shall not treat non-appearance as an admission of guilt.

Step 5 — Evaluation and decision

The Panel or HRD, as applicable under Section 3.7, evaluates the evidence, completes the Case Evaluation Form (Annex D), and states the findings of fact, the provision violated, the mitigating and aggravating circumstances considered, and the recommended penalty. The recommendation is approved by the Owner or General Manager.

Step 6 — Second notice: Notice of Decision (Annex E)

HRD serves a written Notice of Decision stating the findings, the specific ground relied upon, the reason why the employee's explanation was or was not accepted, the penalty imposed, and the date the penalty takes effect. Where the penalty is dismissal, the notice shall state the effective date of separation and shall be served on the employee; a copy shall also be furnished to the DOLE Regional Office having jurisdiction, where required.

The whole process from NTE to Notice of Decision should be completed within thirty (30) calendar days, extendable for good reason recorded in writing.

TWO NOTICES ARE THE MINIMUM, NOT THE CEILING

Skipping either notice, or giving the employee less than five calendar days to explain, does not merely weaken the case — it exposes the Company to nominal damages even where the dismissal itself was for a valid cause. The cheapest hour HRD will ever spend is the hour spent writing a proper NTE.

3.7 The Administrative Review Panel REVISED

The previous edition required a panel of three managers for every case. At the Company's present size that is not workable, and it delays simple cases. The following applies instead, and scales as the Company grows:

CASE	DECIDED BY	COMPOSITION AND NOTES
Class A offenses	Immediate superior, with HRD noted	HRD reviews the record for consistency. No panel required.
Class B offenses	HRD, with the Department Head	No panel required. The Owner or General Manager approves any suspension.
Class C offenses	Administrative Review Panel	Panel of three (3): the HR Head as chair, one Department Head not connected with the case, and one employee of at least the same rank as the respondent.
Class D offenses, and any case where dismissal is considered	Administrative Review Panel	Same composition. The Panel recommends; the Owner or General Manager decides.

CASE	DECIDED BY	COMPOSITION AND NOTES
Sexual harassment and gender-based harassment	Committee on Decorum and Investigation	Constituted under Section 5.9. Takes precedence over the Panel.

No person shall sit on a Panel who is the complainant, a witness, the immediate superior who reported the case, a relative of either party within the fourth civil degree, or who has any other interest in the outcome. Where the Company cannot constitute a Panel that meets these requirements from among its own personnel, the Owner or General Manager may appoint an external HR practitioner or counsel to sit as a member.

All Panel deliberations are confidential. Members shall not discuss a case outside the proceeding.

3.8 Preventive Suspension REVISED

Preventive suspension is not a penalty. It is the temporary removal of an employee from the workplace during an investigation, and it is available only where the employee's continued presence poses a serious and imminent threat to the life or property of the Company, of the client, or of co-employees — for example, where the charge involves violence, weapons, drugs, or where the employee is in a position to destroy evidence or intimidate witnesses.

- It may be imposed only after the NTE has been served, and shall be stated in writing with the reason.
- It shall not exceed thirty (30) calendar days.
- If the investigation is not finished within thirty (30) days, the Company shall either reinstate the employee to work or extend the suspension — and where it extends it, the Company shall pay the employee's wages and benefits for the period of the extension.
- If the employee is found not liable, or is found liable for an offense that does not carry suspension, the employee shall be paid the wages corresponding to the entire period of the preventive suspension.
- Where an employee is found liable and suspended as a penalty, the period of preventive suspension already served shall be credited against the penalty.
- Preventive suspension shall not be used as a convenience, as a way of avoiding a hearing, or as an informal penalty. Doing so is an offense under Section 4.8.

3.9 Appeal

An employee may ask for reconsideration of any decision by filing a written Letter of Appeal with HRD within five (5) calendar days from receipt of the Notice of Decision. The appeal shall state the grounds relied upon and may attach new evidence.

The appeal shall be reviewed by the Owner or General Manager, or, where they decided the case at first instance, by a reviewer they designate who took no part in the original decision. A written resolution shall be issued within fifteen (15) calendar days from receipt of the appeal. The resolution is final within the Company.

Filing an appeal does not by itself suspend the penalty, but the reviewer may hold the penalty in abeyance pending resolution. Nothing in this Code limits an employee's right to bring the matter before the Department of Labor and Employment, the National Labor Relations Commission, or any other body having jurisdiction, and no employee shall be penalised for doing so.

3.10 Habitual Delinquency REVISED

An employee is habitually delinquent when, within a rolling twelve (12) month period reckoned from the date of the first offense, they have accumulated any of the following:

- Five (5) Class A offenses; or
- Three (3) Written Warnings arising from separate incidents; or
- Three (3) suspensions arising from separate incidents; or
- Any combination of four (4) penalties of Written Warning or higher arising from separate incidents.

Habitual delinquency is treated as a Class C offense in its own right and is subject to the full procedure in Section 3.6, including a separate NTE. It is not an automatic dismissal: the Panel shall consider whether the pattern shows a genuine unwillingness to correct, and shall consider whether the employee was given real support to improve.

Where the underlying offenses are all Class A and caused no loss, the Panel should normally impose suspension and place the employee on a written performance improvement plan rather than recommend dismissal.

3.11 Prescription and Clearing of Records NEW

Prescription of offenses. No disciplinary proceeding shall be commenced more than sixty (60) calendar days after the offense came to the knowledge of the immediate superior or of HRD, whichever is earlier, except for offenses involving fraud, dishonesty, theft, falsification, sexual harassment or violence, for which the period is one (1) year from discovery. The Company should not hold a stale allegation in reserve.

Clearing of records. A penalty ceases to be counted in the progression under Section 3.4 after twelve (12) months from the date it was fully served, provided the employee commits no further offense of the same class during that period. Cleared penalties remain physically in the 201 file as a matter of record but shall not be used to increase the penalty for a later offense.

Effect on benefits and promotion. A cleared penalty shall not be used as a ground to deny promotion, transfer, training or any benefit.

3.12 Restitution and the Prohibition on Fines NEW

THIS SECTION REPLACES PROVISIONS OF THE PREVIOUS EDITION THAT WERE CONTRARY TO LAW

Where an employee causes loss or damage to company or client property, the Company may:

- require restitution or repair as a condition recorded in the Notice of Decision, where the employee agrees;
- deduct the amount from wages ONLY where the employee has given written authorization to the deduction, freely and without coercion, and where the deduction does not reduce the employee's pay below the applicable minimum wage. Deductions shall be spread so that no single pay period is reduced by more than twenty percent (20%) of net pay;
- recover the amount from the employee's final pay on separation, subject to the same conditions; or
- pursue civil remedies in the proper forum.

Where the employee does not agree to restitution, the Company's remedy is a civil claim, not an unauthorized deduction. Refusing to authorize a deduction is not an offense and shall not be treated as insubordination.

For deductions relating to loss or damage to tools, materials or equipment specifically, the Company shall additionally observe Article 114 of the Labor Code and its implementing rules, which require that the employee be heard on their responsibility, that the employee be shown to be clearly responsible, and that the deduction not exceed twenty percent (20%) of the employee's wages in a week.

3.13 Management Prerogative and Employee Rights NEW

The Company retains the right to issue, amend and enforce work rules and to discipline employees, within the limits set by the Constitution, the Labor Code, and applicable law. Where an act grossly prejudicial to the Company is not listed in Part IV, the Company may act on it, but only by applying the class of the most closely analogous listed offense, and only after the full procedure in Section 3.6.

Every employee retains the following rights, which no provision of this Code may be read to waive:

- to be informed in writing of any accusation, and to be given a real opportunity to answer it;
- to be assisted by a representative or counsel of their own choosing at any conference;
- to see and copy the documents relied upon against them, and their own 201 file;
- to security of tenure, and not to be dismissed except for a just or authorized cause and with due process;
- to receive all wages and benefits due under law, and not to have them reduced by way of penalty;
- to self-organization and to engage in lawful concerted activity;
- to a workplace free from harassment, discrimination and retaliation;
- to bring any grievance before the DOLE, the NLRC or any competent body without fear of reprisal.

PART IV SCHEDULE OF OFFENSES

This Part lists the offenses recognised by TXTAIRE OPC and assigns each to a class. The penalty for each class is set out once, in Section 3.4, and is repeated in the small penalty guide above each table. Before imposing any penalty, read Section 3.5 on mitigating and aggravating circumstances and follow the procedure in Section 3.6.

The list is meant to be complete for the ordinary work of the Company. Where an act is genuinely not covered, Section 3.13 applies.

4.1 Offenses Against Attendance and Punctuality

Employees are expected to report for work regularly and on time. A leave application shall be filed and approved at least two (2) working days before the expected absence. Where the absence is unforeseen — illness, accident, family emergency, calamity — the employee shall notify the immediate superior as early as possible and not later than two (2) hours after the start of the shift, by any means available, and shall file the leave form on the first day of return.

An absence is EXCUSED where notice was given and the reason is legitimate, even if the leave form was filed late. An absence is UNAUTHORIZED where neither notice nor a legitimate reason exists. The distinction matters, and HRD shall not treat an excused absence as an unauthorized one merely because paperwork was late.

CLASS A · LIGHT	CLASS B · LESS GRAVE	CLASS C · GRAVE	CLASS D · SERIOUS
Verbal warning → Written warning → 3 days → 7 days	Written warning → 3 days → 7 days → Dismissal	7 days → 15 days → Dismissal	Dismissal on the first offense

NO.	OFFENSE	CLASS
1 REV	Tardiness — reporting for work after the fifteen (15) minute grace period, four (4) or more times within one (1) calendar month. *Time lost is deducted from pay in the ordinary course. That deduction is not a penalty and does not replace or reduce the disciplinary action.*	A - Light
2	Undertime — leaving before the end of the shift without the approval of the immediate superior, two (2) or more times within one (1) calendar month.	A - Light
3 NEW	Absence for one (1) day where the employee gave timely notice and had a legitimate reason, but failed to file the leave form on the first day of return.	A - Light

4 REV	Excessive tardiness — accumulated tardiness of three hundred (300) minutes or more within one (1) calendar month.	B - Less Grave
5 REV	Absence without prior approved leave and without notice (no call, no show) for one (1) working day.	B - Less Grave
6 NEW	Failure to report for a scheduled and previously accepted overtime, emergency call-out or weekend service assignment, without a valid reason and without notice.	B - Less Grave
7	Leaving the assigned jobsite, client premises or office during working hours without the permission of the immediate superior.	B - Less Grave
8 NEW	Failure to report to the assigned client site, or reporting to a site other than the one assigned, without authority.	B - Less Grave
9 REV	Absence without approved leave for two (2) to four (4) consecutive working days.	C - Grave
10 REV	Absence without approved leave for five (5) or more consecutive working days, or failure to return to work after an approved leave has expired, where the employee cannot be contacted and there is a clear indication of an intention not to return. *Abandonment requires BOTH an unjustified failure to report AND a clear intention to sever the relationship. Before treating an absence as abandonment, HRD shall send the NTE to the employee's last known address by registered mail or courier and allow the full period to reply. Mere absence, however long, is not abandonment where the employee has explained or has been trying to return.*	D - Serious

ON THE GRACE PERIOD AND TARDINESS

The grace period is extended from ten (10) to fifteen (15) minutes in recognition of the traffic conditions faced by employees travelling to Laguna, Manila and client sites. The grace period is a concession, not an entitlement to arrive late every day; the tardiness count is reckoned from the official start of the shift, not from the end of the grace period.

The previous edition defined excessive tardiness at 260 minutes in a month and made tardiness in excess of four times in one month punishable without stating the penalty. This edition states both the threshold and the class.

4.2 Offenses on Timekeeping and Records

Accurate time and service records are the basis of every employee's pay and of every client's bill. A genuine mistake in a time record is a clerical matter. Deliberately falsifying one is fraud.

CLASS A · LIGHT	CLASS B · LESS GRAVE	CLASS C · GRAVE	CLASS D · SERIOUS
Verbal warning → Written warning → 3 days → 7 days	Written warning → 3 days → 7 days → Dismissal	7 days → 15 days → Dismissal	Dismissal on the first offense

NO.	OFFENSE	CLASS
1 REV	Unintentional failure to log in or log out on the biometric device or timesheet, three (3) or more times within one (1) calendar month. *The hours actually worked shall be paid in full on the basis of a Time Correction Form certified by the immediate superior. No deduction shall be made, and the employee shall not be marked absent, for hours actually worked. See Section 3.12.*	A - Light
2 NEW	Failure to submit a required timesheet, service report, job order or accomplishment report within the prescribed period.	A - Light
3	Repeated failure or refusal to log in or log out after having been issued a written warning for the same conduct.	B - Less Grave
4 REV	Giving a false reason to justify an absence, tardiness or undertime.	C - Grave
5 NEW	Refusing to submit to, or tampering with, the Company's timekeeping system, including the biometric device.	C - Grave

6 REV	Logging in or logging out on behalf of another employee, or allowing or asking another employee to do so on one's behalf. *Both employees are liable. Where the arrangement was a single, isolated act with no gain obtained and full disclosure was made before discovery, the Panel may consider mitigation under Section 3.5.*	D - Serious
7	Falsifying, altering or tampering with a time record, timesheet, daily time record, service report, job order, gate pass, delivery receipt or any other company or client record.	D - Serious
8	Knowingly receiving salary, overtime pay, allowance, reimbursement or any benefit to which one is not entitled by reason of a falsified or erroneous record, and failing to report it within a reasonable time. *An employee who promptly reports an overpayment and returns it is not liable under this item.*	D - Serious

4.3 Offenses Against Health, Safety and Security

The Company's work involves electricity, pressurised refrigerant, rotating machinery and elevated platforms, so safety rules here are not paperwork. Under Republic Act No. 11058 and Department Order No. 198-18 every worker may refuse unsafe work, and no employee shall be penalised for exercising that right in good faith.

CLASS A · LIGHT	CLASS B · LESS GRAVE	CLASS C · GRAVE	CLASS D · SERIOUS
Verbal warning → Written warning → 3 days → 7 days	Written warning → 3 days → 7 days → Dismissal	7 days → 15 days → Dismissal	Dismissal on the first offense

NO.	OFFENSE	CLASS
1	Failure to observe housekeeping and orderliness in the office, stockroom, service vehicle or jobsite; leaving tools, materials or refuse uncleared.	A - Light
2 NEW	Smoking or vaping outside a designated smoking area, or within client premises where it is prohibited.	A - Light
3	Failure or refusal to comply with a lawful health or medical requirement of the Company, such as the annual physical examination or a fit-to-work clearance.	A - Light
4 NEW	Failure to wear or properly use the prescribed personal protective equipment (helmet, safety shoes, gloves, eye protection, harness, insulated tools) while on duty.	B - Less Grave
5 REV	Failure to immediately report to the immediate superior or the Safety Officer a work-related accident, injury, near-miss, spill, or an unsafe or unhealthy condition. *A severe penalty discourages the very reporting this rule exists to produce. Prompt, good-faith reporting of an incident in which the employee was at fault is treated as mitigating.*	B - Less Grave
6 REV	Lending one's company identification card, access card, gate pass or uniform to another person; or using that of another.	B - Less Grave
7 REV	Deliberately concealing a known communicable disease, or a medical condition that renders the employee unfit for the work assigned, where concealment places the employee or others at risk. *Does not apply to HIV, Hepatitis B or tuberculosis status, which need never be disclosed and can never ground discipline. See Section 5.10.*	C - Grave
8 REV	Forcing entry into the office, stockroom, tool crib or client premises outside authorized hours; or opening another person's locker, drawer, bag or workstation without authority.	C - Grave
9 REV	Reporting for work under the influence of alcohol; or drinking alcoholic beverages within company or client premises or during working hours. *Class D where the employee is assigned to driving, work at height, or work on energised equipment.*	C - Grave

10 REV	Willful refusal to follow a safety instruction, or willful violation of a safety rule, which exposes the employee or any other person to the danger of death or serious injury — such as working at height without fall protection, working on energised equipment without lock-out / tag-out, defeating a machine guard or interlock, or operating equipment one is not certified to operate. *Where the violation was inadvertent rather than willful and no injury resulted, the offense is the failure to wear or properly use personal protective equipment, above, and not this one.*	D - Serious
11	Unauthorized possession or carrying of a firearm, explosive, or other deadly weapon within company or client premises, or in a company vehicle.	D - Serious
12 REV	Use, possession, sale, distribution, or being under the influence of dangerous drugs within company or client premises, in a company vehicle, or while on duty. *Subject to the procedure and safeguards in Section 5.8, which provides for referral and treatment in appropriate cases.*	D - Serious
13 REV	Final conviction by a court of a crime involving moral turpitude, or of any crime against the Company, its officers, employees, clients or their property. *A pending charge is not a conviction. Where the act is independently an offense under this Code, the Company may proceed on that basis.*	D - Serious

4.4 Offenses Related to Job Performance

Poor performance and misconduct are different things. Genuine inability to meet a standard is addressed through coaching, training and a written performance improvement plan under Section 6.2, not through this Part. This Section deals with conduct: not doing the work one is capable of doing, doing it carelessly, or refusing to do it.

CLASS A · LIGHT	CLASS B · LESS GRAVE	CLASS C · GRAVE	CLASS D · SERIOUS
Verbal warning → Written warning → 3 days → 7 days	Written warning → 3 days → 7 days → Dismissal	7 days → 15 days → Dismissal	Dismissal on the first offense

NO.	OFFENSE	CLASS
1	Wasting time, loafing, idling, or engaging in personal activities during working hours.	A - Light
2	Failure to wear the prescribed uniform, or to maintain the prescribed grooming and appearance, while on duty, except when excused.	A - Light
3 REV	Failure to keep the company-issued mobile phone or radio charged, available and reachable during working hours or while on call. *No fine shall be imposed and no unit shall be confiscated for this offense. See Section 3.12.*	A - Light
4 REV	Sleeping during working hours, or deliberately evading assigned work. *Where the employee is driving, working at height, or monitoring energised or pressurised equipment, this is treated as Class C.*	B - Less Grave
5 REV	Simple negligence or inefficiency in the performance of duties resulting in no loss, or in a loss of not more than Five Thousand Pesos (P5,000.00). *The previous edition set this threshold at Two Hundred Pesos (P200.00), which is no longer a meaningful amount.*	B - Less Grave
6 REV	Negligence in the performance of duties resulting in a loss of more than Five Thousand Pesos (P5,000.00) but not more than Thirty Thousand Pesos (P30,000.00).	C - Grave
7 REV	Willful disobedience of, or refusal to carry out, a lawful and reasonable instruction of a superior in connection with the employee's work. *Three things must be shown: the order was lawful and reasonable, it was made known to the employee, and it related to the duties the employee was engaged to perform. Refusing an unlawful order, or refusing work that is imminently dangerous, is not disobedience.*	C - Grave
8	Willful holding back, slowing down or limiting work output; or inducing or encouraging a fellow employee to do so. *This does not apply to lawful concerted activity, which is a protected right.*	C - Grave

9 REV	Acting as a broker or agent for, or negotiating on behalf of, a client, unit owner, supplier or third person in a transaction involving the Company, without written authority.	C - Grave
10 REV	Gross and habitual neglect of duties; or negligence resulting in a loss of more than Thirty Thousand Pesos (P30,000.00); or negligence resulting in serious physical injury to any person. *Under Article 297(b) of the Labor Code, neglect must be both GROSS and HABITUAL to justify dismissal. A single act of negligence, however costly, will ordinarily be dealt with under the negligence tiers above unless it was so reckless as to amount to serious misconduct.*	D - Serious
11	Accepting or soliciting, directly or indirectly, any sum of money, commission, discount, gift or benefit from a supplier, contractor, client or applicant in consideration of any act pertaining to one's work.	D - Serious
12	Disclosing to an unauthorized person, or using for personal benefit, trade secrets, costing, pricing, bid information, client lists, technical drawings, or other confidential information of the Company or of its clients.	D - Serious
13	Sabotage, or any deliberate act intended to disrupt operations or to damage the Company, its property, its clients, or the property of its clients, whether or not damage actually resulted.	D - Serious

4.5 Offenses Against Company and Client Property

Penalties under this Section are without prejudice to restitution, which is governed by Section 3.12. The value of loss or damage means the actual, documented cost of repair or replacement, not a list price or an estimate made without inspection. Where the value is disputed, the burden of proving it rests on the Company.

CLASS A · LIGHT	CLASS B · LESS GRAVE	CLASS C · GRAVE	CLASS D · SERIOUS
Verbal warning → Written warning → 3 days → 7 days	Written warning → 3 days → 7 days → Dismissal	7 days → 15 days → Dismissal	Dismissal on the first offense

NO.	OFFENSE	CLASS
1 REV	Careless, improper or unauthorized use of company or client property, tools, materials, equipment, refrigerant or supplies, resulting in no loss or in a loss of not more than Five Thousand Pesos (P5,000.00).	B - Less Grave
2 NEW	Failure to report the loss, damage or malfunction of company or client property, tools or equipment in one's custody.	B - Less Grave
3	Careless, improper or unauthorized use of company or client property, tools, materials, equipment, refrigerant or supplies, resulting in a loss of more than Five Thousand Pesos (P5,000.00) but not more than Thirty Thousand Pesos (P30,000.00).	C - Grave
4 REV	Any act of vandalism that defaces or damages company or client property, or the property of another person within company or client premises.	C - Grave
5	Unauthorized use of a company or client vehicle, without resulting damage or injury.	C - Grave
6	Driving a company vehicle in a reckless or imprudent manner, or while not holding the appropriate valid licence, without resulting damage or injury.	C - Grave
7 REV	Attempted or frustrated removal of company or client property from the premises without proper authorization or gate pass, where the property was recovered and no loss resulted.	C - Grave
8	Careless, improper or unauthorized use of company or client property, tools, materials, equipment, refrigerant or supplies, resulting in a loss of more than Thirty Thousand Pesos (P30,000.00).	D - Serious
9	Willful or malicious damage to, or destruction of, any property or equipment owned by the Company or by its clients.	D - Serious

10	Unauthorized use of a company or client vehicle, resulting in damage or injury.	D - Serious
11	Driving a company vehicle in a reckless or imprudent manner, or while not holding the appropriate valid licence, resulting in damage to property or injury to any person.	D - Serious
12	Removing company or client property from the premises without authorization, where the property was taken away or lost.	D - Serious
13	Theft or pilferage of property or money belonging to the Company, a client, a co-employee, or any third person, within company or client premises; including obtaining property or money under fraudulent or false pretences.	D - Serious

4.6 Offenses Against Honesty and Integrity

The Company entrusts employees with money, materials, client records and its own good name. Dishonesty destroys the trust on which employment rests, and the offenses in this Section are therefore classified as serious. That classification is not mechanical: see the note at the end of this Section.

CLASS A · LIGHT	CLASS B · LESS GRAVE	CLASS C · GRAVE	CLASS D · SERIOUS
Verbal warning → Written warning → 3 days → 7 days	Written warning → 3 days → 7 days → Dismissal	7 days → 15 days → Dismissal	Dismissal on the first offense

NO.	OFFENSE	CLASS
1 NEW	Undeclared outside employment, consultancy or sideline that conflicts with the employee's duties, or that makes use of company time, tools, materials, vehicles or information. *Outside work that does not conflict and does not use company resources is not an offense, but must be declared under Section 2.3.*	C - Grave
2 NEW	Failure to declare a conflict of interest required to be declared under Section 2.3.	C - Grave
3	Misappropriation, embezzlement or malversation of company or client funds or property. *Malversation means the unauthorized taking of company funds or property, or any wrongdoing in relation to them.*	D - Serious
4	Using company or client funds, property or facilities for personal purposes without the prior approval of the immediate superior or other accountable person.	D - Serious
5	Creating fictitious or "ghost" transactions; or falsifying company or client records, receipts, invoices, quotations, job orders, liquidations or documents.	D - Serious
6	Withholding funds due to the Company or to a client; kiting; short remittance or non-remittance of collections.	D - Serious
7	Non-issuance or wrongful issuance of official receipts, invoices or commercial documents where these are required.	D - Serious
8	Forgery, or the misuse or abuse of company funds.	D - Serious
9	Engaging privately, directly or through another person, in a business that competes with the Company; or diverting to oneself or to another a business opportunity belonging to the Company or to a client.	D - Serious
10 NEW	Making a false statement, or submitting a falsified or fraudulently obtained document, in an application for employment, promotion, transfer, leave, reimbursement, loan or any benefit.	D - Serious
11	Conspiring or conniving with, directing, inducing or instigating another person to commit any of the foregoing.	D - Serious

PROPORTIONALITY IN DISHONESTY CASES

Dishonesty is presumed grave, and dismissal is the normal penalty. But the Supreme Court has repeatedly set aside dismissals where the amount involved was trivial, the employee had long unblemished service, and there was no real bad faith. HRD and the Panel shall therefore consider, and record in the Case Evaluation Form: the amount or value involved; whether the employee holds a position of trust; whether there was concealment; whether restitution was made voluntarily and before discovery; and the length and quality of the employee's service.

Where the Panel concludes that a penalty lower than dismissal is warranted, it shall say so in writing with its reasons, and the decision rests with the Owner or General Manager. This is the exception and must be justified — but it must remain available, or the Code becomes the very thing this edition was issued to correct.

4.7 Offenses Against Proper Conduct and Behavior

Employees work in close quarters, in clients' buildings, often under time pressure. The standard expected is ordinary professional courtesy. This Section is not intended to police personality, ordinary disagreement, or lawful complaint about working conditions.

CLASS A · LIGHT	CLASS B · LESS GRAVE	CLASS C · GRAVE	CLASS D · SERIOUS
Verbal warning → Written warning → 3 days → 7 days	Written warning → 3 days → 7 days → Dismissal	7 days → 15 days → Dismissal	Dismissal on the first offense

NO.	OFFENSE	CLASS
1	Horseplay or unruly conduct which causes or tends to cause disorder, disrupts work, or creates a disturbance within company or client premises, where no loss, damage or injury results.	A - Light
2	Removing, defacing or tampering with a notice posted on the company bulletin board or issued through official company channels.	A - Light
3 REV	Discourtesy, rudeness or improper behaviour towards a client, a client's visitor or tenant, a supplier, or a member of the public.	B - Less Grave
4	Acts of disrespect towards a superior, co-employee or third person; the use of foul, abusive or insulting language or gestures; or challenging another to a fight, in the course of business.	B - Less Grave
5 REV	Spreading malicious rumours, or creating intrigues against a co-employee or officer, which tend to cast dishonour, discredit or contempt upon that person. *The previous edition penalised this with a fifteen-day suspension on the first offense and dismissal on the second. That is out of proportion to the conduct in the ordinary case.*	B - Less Grave
6 REV	Gambling, or soliciting or accepting bets, or lending money to be used for such activity, within company or client premises or during working hours. *The previous edition imposed dismissal on the first offense.*	B - Less Grave
7	Engaging in any private business, or selling goods or services, within company or client premises or during working hours.	B - Less Grave
8	Horseplay or unruly conduct which causes or tends to cause disorder, disrupts work, or creates a disturbance within company or client premises, where loss or damage to property, or injury to any person, results.	C - Grave
9 NEW	Making a threat of harm against a superior, co-employee, client or third person.	C - Grave
10 NEW	Bullying — repeated verbal, psychological, social or online conduct directed at a co-employee that creates an intimidating, hostile, humiliating or offensive work environment. *A single serious incident may be treated as bullying where its effect is equivalent. Legitimate performance management, correction and discipline are not bullying.*	C - Grave
11 REV	Fighting, or provoking or instigating a fight, within company or client premises or while on duty, where no serious physical injury results and no weapon is used. *The previous edition imposed dismissal on the first offense. Under this edition dismissal is reserved for the aggravated forms in items 12 and 13. Where an employee was genuinely defending themselves, no penalty shall be imposed.*	C - Grave

12 REV	Borrowing money, merchandise or goods from a client, a client's staff, tenant or visitor, or from a supplier or contractor of the Company.	C - Grave
13 REV	Soliciting or borrowing money, merchandise or goods from a subordinate; or lending money to a subordinate at interest. *The previous edition imposed dismissal on the first offense. This edition treats it as grave but correctable, unless coercion or abuse of authority is shown, in which case Section 4.8 applies.*	C - Grave
14 REV	Posting, publishing, sharing or distributing, in any medium including social media, obscene, defamatory or malicious material, or confidential company or client information, which damages or tends to damage the reputation of the Company, its officers, its employees or its clients. *Where the posting discloses confidential or client data, identifies a client, or is done maliciously and causes serious damage, this is treated as Class D. Lawful comment on working conditions, and lawful concerted activity, are protected and are not offenses. Acts falling under the Cybercrime Prevention Act may additionally be referred for prosecution.*	C - Grave
15 NEW	Refusing without valid reason to cooperate in an official company investigation, or obstructing one, including by destroying evidence or influencing a witness. *An employee who is themselves the respondent in the investigation has the right to remain silent and to decline to answer, and shall not be penalised under this item for exercising that right.*	C - Grave
16 REV	Gross or repeated discourtesy towards a client, resulting in the loss of, or serious damage to, a client account or to the Company's reputation.	D - Serious
17 NEW	Making such a threat while carrying or brandishing a weapon, or in a manner that places the person threatened in immediate fear of serious harm.	D - Serious
18 REV	Fighting where serious physical injury results, where a weapon is used, or where the employee was the instigator or aggressor.	D - Serious
19 REV	Willfully or deliberately inflicting physical injury upon a superior, co-employee, client or third person, in connection with work, whether within or outside company premises. *Where the injury is minor, the incident was isolated, and there was substantial provocation, the Panel may consider mitigation under Section 3.5.*	D - Serious
20 REV	Sexual harassment, or gender-based sexual harassment, in any of the forms defined in Republic Act No. 7877 and Republic Act No. 11313, whether committed in person, in writing, or through any online or electronic medium. *Complaints are handled by the Committee on Decorum and Investigation under Section 5.9, which takes precedence over Part III. Where the act falls under the "light" or "less grave" categories of RA 11313 (such as catcalling, wolf-whistling or persistent unwanted comments), the graduated penalties in that law and in Section 5.9 apply instead, beginning at Class B.*	D - Serious
21	Immoral or indecent conduct, or engaging in sexual activity, within company or client premises.	D - Serious
22	Planting or fabricating evidence against a superior or a co-employee; or knowingly filing a false complaint or giving false testimony in a company investigation.	D - Serious
23 NEW	Retaliating against any person who, in good faith, reported a violation, filed a complaint, gave evidence, or took part in an investigation.	D - Serious

4.8 Accountability of Supervisors and Managers

Supervisors and managers hold positions of trust. They are held to the same standards as everyone else, and to these additional ones. A supervisor who commits an offense listed in Sections 4.1 to 4.7 is subject to the same class, with their position treated as an aggravating circumstance under Section 3.5.

CLASS A · LIGHT	CLASS B · LESS GRAVE	CLASS C · GRAVE	CLASS D · SERIOUS
Verbal warning → Written warning → 3 days → 7 days	Written warning → 3 days → 7 days → Dismissal	7 days → 15 days → Dismissal	Dismissal on the first offense

NO.	OFFENSE	CLASS

1 NEW	Failure to conduct, document or discuss the required performance evaluations of subordinates.	A - Light
2	Failure to disseminate to subordinates this Code, company policies, work rules, safety procedures and other work-related matters.	B - Less Grave
3	Failure to report to HRD, within five (5) working days of learning of it, a violation of this Code committed by a subordinate.	B - Less Grave
4 NEW	Failure to properly supervise, resulting in a substantial loss to the Company or a client, or in an injury that could reasonably have been prevented.	C - Grave
5 NEW	Showing manifest partiality or favouritism in work assignments, overtime allocation, evaluation, recommendation for promotion, or discipline.	C - Grave
6 NEW	Imposing on a subordinate any disciplinary penalty, fine, wage deduction or informal sanction outside the procedure laid down in Part III of this Code.	C - Grave
7 NEW	Using preventive suspension as an informal penalty, or to avoid holding a hearing.	C - Grave
8 NEW	Directing, instructing or requiring a subordinate to commit an act that violates this Code, a company policy, or the law; or to falsify a record.	D - Serious
9 NEW	Failing to act upon, or concealing, a report of sexual harassment, gender-based harassment, bullying, discrimination, or a serious unsafe condition.	D - Serious
10 NEW	Retaliating against, or permitting or directing retaliation against, an employee who in good faith reported a violation, filed a complaint, or participated in an investigation.	D - Serious
11 NEW	Soliciting money, goods, services or personal favours from a subordinate as a condition, express or implied, of favourable treatment.	D - Serious

FOR SUPERVISORS: THE THREE THINGS THAT MOST OFTEN GO WRONG

First, informal punishment. Sending someone home for the day, cutting their overtime, or moving them to a worse assignment because of something they did is a penalty imposed without due process. Report it to HRD and let the process run.

Second, delay. The sixty-day prescriptive period in Section 3.11 runs from the moment YOU knew. Sitting on a report can extinguish the Company's right to act on it.

Third, the vague notice. "You have been remiss in your duties" is not a Notice to Explain. State the act, the date, the place, and the provision violated, or the whole case fails on procedure no matter how right you were on the facts.

PART V WORKPLACE STANDARDS AND BENEFITS

This Part states the standards and benefits that apply to all employees. Every benefit in this Part carries one of two labels, so that an employee can see at a glance where the entitlement comes from:

LABEL	WHAT IT MEANS
MANDATORY	Required by law. The Company must provide it regardless of company policy, and it cannot be reduced, waived or traded away — not by this Code, not by an individual agreement, and not with the employee's consent.
COMPANY-GRANTED	Granted by the Company beyond what the law requires. The Company was free not to grant it. Once it has been granted regularly and deliberately, however, it may no longer be withdrawn or reduced unilaterally (Article 100, Labor Code).

Where the law is later amended to give more than this Part states, the law applies and this Part shall be read as amended.

5.1 Hours of Work, Attendance and Punctuality

A regular working day consists of eight (8) hours of work plus a meal break of not less than sixty (60) minutes, which is not compensable. Standard office hours at the Laguna and Manila offices are 8:00 A.M. to 5:00 P.M., Monday to Friday, with Saturday work as scheduled. Employees assigned to client sites follow the schedule agreed with the client, which shall be communicated in writing.

A grace period of fifteen (15) minutes after the official start of the shift is observed. Time lost through tardiness or undertime is deducted from pay on the basis of actual minutes lost. Deduction of time not worked is not a disciplinary penalty; disciplinary action for tardiness is separate and is governed by Section 4.1.

Every employee is entitled to a rest period of not less than twenty-four (24) consecutive hours after every six (6) consecutive normal work days. Where the nature of a client engagement requires work on a scheduled rest day, the premium in Section 5.2 applies.

Night shift differential of not less than ten percent (10%) of the basic hourly rate is paid for each hour worked between 10:00 P.M. and 6:00 A.M.

5.2 Overtime, Undertime and Rest Days REVISED

Overtime must be authorized in writing by the immediate superior BEFORE it is rendered, and the authorization recorded on the timesheet. This requirement exists so that the Company can control cost and staffing; it is not a device for avoiding payment.

OVERTIME ACTUALLY RENDERED AND KNOWINGLY PERMITTED MUST BE PAID

Where an employee renders overtime without prior written authorization, but the work was necessary and the immediate superior knew of it and allowed it to proceed, the overtime shall be paid. The failure to secure prior authorization is then dealt with, if at all, as a Class A offense.

A blanket rule that unauthorized overtime is never compensable cannot be applied to hours the Company knew about and benefited from.

Premium rates. The following are the statutory minimum rates. Where a client contract or company practice provides more, the higher rate applies.

WORK RENDERED	RATE
Overtime on an ordinary working day	Hourly rate + 25%
Work on a rest day or a special non-working day	Daily rate + 30%
Overtime on a rest day or special non-working day	Hourly rate of that day + 30%
Work on a regular holiday	200% of daily rate
Overtime on a regular holiday	Hourly rate of that day + 30%
Work on a regular holiday falling on a rest day	200% + 30% of that amount
Night shift differential (10:00 P.M. – 6:00 A.M.)	Hourly rate + 10%

Undertime. Undertime is not allowed except in an emergency or in circumstances beyond the employee's control, and requires the approval of the immediate superior. Undertime on any day shall not be offset against overtime on another day. Undertime of more than one (1) hour shall be covered by a leave application. Repeated undertime is dealt with under Section 4.1.

5.3 Leaves of Absence REVISED

Service Incentive Leave (SIL) MANDATORY

Every employee who has rendered at least one (1) year of service is entitled to five (5) days of service incentive leave with pay per year. The year is reckoned from the date the employee started working, and includes authorized absences, paid regular holidays and rest days.

SIL may be used for vacation or for illness. Unused SIL is convertible to its cash equivalent at the end of the year, or upon separation, based on the salary rate at the date of conversion. Applications for planned leave shall be filed at least five (5) working days in advance; for a two-week or longer absence, at least two (2) weeks in advance.

Sick leave MANDATORY

The Company does not grant a separate paid sick leave over and above SIL. An employee may use SIL credits for absence due to illness. A medical certificate from a licensed physician is required for an absence of three (3) or more consecutive working days. For shorter absences a medical certificate may be requested but shall not be unreasonably required, and its absence alone shall not convert an otherwise excused absence into an unauthorized one.

Where SIL credits are exhausted, or where the employee has not yet completed one year of service, absence due to illness may be taken as leave without pay under the terms below, and the employee may claim SSS sickness benefit where qualified.

Statutory leaves REVISED

LEAVE	DAYS	BASIS	ENTITLEMENT AND CONDITIONS
Maternity Leave (RA 11210)	105 / 120 / 60	MANDATORY	One hundred five (105) days with full pay for live childbirth, whether normal or caesarean, regardless of civil status or legitimacy of the child; an additional fifteen (15) days for a qualified solo parent; sixty (60) days for miscarriage or emergency termination. Up to seven (7) days may be transferred to the child's father or, in his absence, to an alternate caregiver. An option to extend for thirty (30) days without pay is available on notice.
Paternity Leave (RA 8187)	7	MANDATORY	Seven (7) days with full pay for a married male employee, for each of the first four (4) deliveries of the legitimate spouse with whom he is cohabiting.
Solo Parent Leave (RA 11861)	7	MANDATORY	Seven (7) working days with pay per year for an employee who has rendered at least six (6) months of service and holds a valid Solo Parent Identification Card issued by the local social welfare office. Not convertible to cash and not carried over.
Special Leave for Women (RA 9710)	up to 60	MANDATORY	Up to two (2) months with full pay following surgery caused by a gynaecological disorder, for an employee who has rendered at least six (6) months of aggregate service in the last twelve (12) months.

LEAVE	DAYS	BASIS	ENTITLEMENT AND CONDITIONS
Leave for Victims of Violence (RA 9262)	10	MANDATORY	Ten (10) days with pay, extendible, for a woman employee who is a victim of violence against women and their children, on presentation of a protection order or a certification from the barangay, prosecutor or clerk of court. The Company shall keep the matter strictly confidential.
Bereavement Leave	3	COMPANY-GRANTED	Three (3) days with pay on the death of a spouse, child, parent, sibling, grandparent or parent-in-law. Notice to be given as early as practicable; proof of death to be submitted on return.

Leave without pay (LWOP) COMPANY-GRANTED

An employee with no remaining leave credits may apply for leave without pay. It requires the approval of the immediate superior and HRD, and where a client site is affected, coordination with the client. Requests shall be filed at least two (2) weeks in advance where the need is foreseeable. LWOP is not a right; approval shall not, however, be unreasonably withheld where the reason is compelling.

Approved LWOP does not break continuity of service, but the days are excluded in computing service-based benefits.

5.4 Payroll and Timekeeping

- **Payday.** Employees are paid semi-monthly, on the 15th and the last day of the month. Where a payday falls on a rest day or holiday, payment is made on the preceding working day. The interval between payments shall not exceed sixteen (16) days.
- **Direct deposit.** Wages are credited directly to the employee’s bank account. The Company shall not charge the employee for the maintenance of a payroll account.
- **Payslips.** Every employee shall receive a payslip each pay period showing the period covered, hours worked, overtime, premiums, gross pay, each deduction separately itemised, and net pay. Payslips shall be issued whether in print or electronically.
- **Lawful deductions only.** Only deductions authorized by law — SSS, PhilHealth, Pag-IBIG, withholding tax — or deductions to which the employee has given written authorization for their own benefit, shall be made. No deduction shall be made as a fine, as a penalty, or for hours actually worked. See Section 3.12.
- **Payroll queries.** An employee who believes there is an error in their pay should raise it with their supervisor or with HRD. Where an error is confirmed, it shall be corrected on the next regular payroll, or sooner where the amount is substantial.

5.5 Holiday Pay Rules

All employees are covered by the holiday pay rules, except those expressly excluded by law (managerial employees, field personnel whose hours cannot be determined with reasonable certainty, and the other categories in Article 82 of the Labor Code). Whether an employee is "field personnel" depends on the actual facts of supervision and reporting, not on a job title.

Regular holidays

An employee is entitled to one hundred percent (100%) of the basic wage for an unworked regular holiday, provided they were present or on paid leave on the working day immediately preceding. An employee who works on a regular holiday is entitled to two hundred percent (200%).

REGULAR HOLIDAY	DATE

REGULAR HOLIDAY	DATE
New Year's Day	January 1
Araw ng Kagitingan	April 9
Maundy Thursday	Movable
Good Friday	Movable
Labor Day	May 1
Independence Day	June 12
National Heroes Day	Last Monday of August
Bonifacio Day	November 30
Christmas Day	December 25
Rizal Day	December 30
Eid al-Fitr	Movable
Eid al-Adha	Movable
Day designated by law for a general election	As proclaimed

Special (non-working) days

The "no work, no pay" principle applies. An employee who works on a special non-working day is entitled to an additional thirty percent (30%) of the basic daily rate.

SPECIAL (NON-WORKING) DAY	DATE
Chinese New Year	Movable
EDSA People Power Anniversary	February 25
Black Saturday	Movable
Ninoy Aquino Day	August 21
All Saints' Day	November 1
All Souls' Day	November 2
Christmas Eve	December 24
Last day of the year	December 31

The Company observes the holidays listed above unless their observance is suspended, moved or modified by proclamation of the President or by law, and observes any additional day so proclaimed. The official DOLE holiday pay advisory issued each year prevails over this list.

5.6 Statutory Benefits

Every benefit in this Section is **MANDATORY** — each is required by law, and none of them may be reduced, waived or traded away. They are available to all employees, whether probationary or regular, unless disqualified under the law itself:

- Social Security System (SSS) — including sickness, maternity, disability, retirement, death and funeral benefits, and the Employees' Compensation Program.
- PhilHealth — national health insurance.
- Pag-IBIG Fund (HDMF) — provident savings and housing loan benefits.

- 13th month pay — not less than one-twelfth (1/12) of the basic salary earned within the calendar year, paid not later than 24 December, to all rank-and-file employees who have worked at least one month during the year, regardless of employment status and of the manner in which wages are paid. An employee who resigns or is separated before payment is entitled to the proportionate amount.
- Service Incentive Leave and the statutory leaves listed in Section 5.3.
- Retirement pay under Republic Act No. 7641 for an employee who reaches sixty (60) years of age, or the compulsory age of sixty-five (65), having served at least five (5) years.

The Company remits all contributions and loan amortisations deducted from wages to the relevant agency within the prescribed period. Employees may verify their posted contributions directly with each agency and shall be assisted by HRD in doing so.

BENEFITS THE COMPANY GRANTS BEYOND THE LEGAL MINIMUM

The Company may grant benefits over and above those required by law. Any such benefit is marked **COMPANY-GRANTED** wherever it appears in this Part. At the date of this edition these are: bereavement leave (Section 5.3), leave without pay (Section 5.3), and any premium rate paid above the statutory minimum under a client contract or established company practice (Section 5.2).

A company-granted benefit is voluntary only until it becomes established. Once the Company has granted it regularly and deliberately over time, Article 100 of the Labor Code prevents it from being withdrawn or reduced unilaterally — it is then as enforceable as a benefit the law requires. HRD should therefore treat the introduction of a new benefit as a lasting commitment, and record the basis on which it is granted.

5.7 Occupational Safety and Health NEW

The Company complies with Republic Act No. 11058 and Department Order No. 198-18. Under those issuances every worker has the right to know the hazards of their work, the right to be provided with personal protective equipment at no cost, the right to report an accident or unsafe condition, and the right to refuse work that poses an imminent danger to life or health.

An employee who in good faith refuses work on the ground of imminent danger, or who reports an unsafe condition, shall not be dismissed, suspended, transferred or otherwise prejudiced for doing so. Any such act is a serious offense under Section 4.8.

- Personal protective equipment appropriate to the task is provided by the Company free of charge. Its cost shall never be charged to or deducted from the wages of any employee.
- The Company shall maintain first aid facilities and shall have trained first-aiders, safety officers and a health and safety committee as required for its headcount. Annex F sets out how these requirements change as the Company grows.
- All employees shall complete the mandatory eight (8) hour safety and health seminar, and workers exposed to specific hazards shall receive the training required for that hazard.
- Work-related accidents, injuries and illnesses shall be reported internally at once and to the DOLE within the prescribed period, and recorded in the Company's logbook.
- The Company conducts pre-employment and annual medical examinations at its own cost. Results are confidential medical information, held by HRD separately from the 201 file, and disclosed only as the employee authorises or the law requires.

5.8 Drug-Free Workplace REVISED

The Company maintains a drug-free workplace in accordance with Republic Act No. 9165 and Department Order No. 53-03. The programme has four parts: advocacy and education; drug testing; treatment and rehabilitation; and, where warranted, discipline.

- **Testing.** Random drug testing shall be conducted by a laboratory accredited by the Department of Health, using its prescribed procedures. Employees selected are chosen by a method that is genuinely random and documented. The Company bears the cost.
- **Confirmatory test.** A positive screening result is NOT a finding of drug use. It shall be confirmed by a confirmatory test at a DOH-accredited laboratory before any action is taken. The employee has the right to challenge a positive confirmatory result within fifteen (15) days by requesting a re-test at their own expense.
- **No on-the-spot testing.** The previous edition allowed the Company to conduct on-the-spot testing and to compel the giving of urine or blood samples on suspicion alone. That is not permitted. Where the Company has reasonable ground to believe an employee is under the influence at work, it shall remove the employee from any safety-critical task, and refer the matter for testing through the accredited laboratory under the safeguards above.
- **Confidentiality.** All test results are confidential medical information. Unauthorized disclosure is itself an offense under Section 4.6 and a violation of the Data Privacy Act.
- **Treatment first for drug use.** An officer or employee found positive for drug USE, on a confirmed test, shall be referred for treatment and rehabilitation at a DOH-accredited centre. Dismissal under this Code applies where the employee refuses referral, fails the programme, tests positive again after completing it, or where the conduct involves possession, sale, distribution, or being under the influence while performing a safety-critical task.

5.9 Anti-Sexual Harassment and Safe Spaces NEW

The Company implements Republic Act No. 7877 (Anti-Sexual Harassment Act) and Republic Act No. 11313 (Safe Spaces Act). Both laws require the employer to prevent harassment, to provide a procedure for complaints, and to act on them.

Committee on Decorum and Investigation (CODI)

The Company shall constitute a Committee on Decorum and Investigation composed of at least one representative each from management, the employees, and, where they exist, the supervisory ranks — with a balanced representation of sexes. Members shall receive training on gender sensitivity and on the handling of complaints. The CODI, not the Administrative Review Panel, handles complaints of sexual harassment and gender-based sexual harassment.

What is prohibited

- Demanding, requesting or requiring a sexual favour in exchange for hiring, continued employment, promotion, a favourable evaluation, an assignment or any benefit — whether the demand is accepted or not.
- Unwanted sexual advances, remarks, jokes, gestures, or the display of sexual material.
- Gender-based sexual harassment under RA 11313, including catcalling, wolf-whistling, persistent unwanted comments on a person's appearance, sexist or homophobic slurs, persistent telling of sexual jokes, unwanted invitations, and stalking — including where committed online or by message.
- Uploading, sharing or threatening to share intimate images or private information of a co-employee.

Harassment may be committed by anyone against anyone, regardless of sex, gender or rank, and regardless of whether there is a relationship of authority between them.

How to complain

A complaint may be made to any CODI member, to HRD, or to the Owner or General Manager, in writing or verbally. Where made verbally, the receiving officer shall put it in writing and have the complainant confirm it. The complaint shall be acted upon within ten (10) days of filing, and the investigation completed within a reasonable period.

The complainant's identity and the details of the complaint shall be kept confidential and disclosed only to those who must know in order to investigate, or to the extent required by the respondent's right to due process. The respondent is entitled to the same due process as in Section 3.6, including a written notice of the specific acts complained of.

Interim measures — separating the parties, changing assignments or reporting lines, adjusting schedules — may be taken to protect the complainant while an investigation is pending. Such measures shall not disadvantage the complainant, for example by moving them to a worse assignment or a lower rate.

Nothing in this procedure prevents the complainant from also filing a criminal or civil action, or a complaint with the DOLE, the Commission on Human Rights or the Philippine Commission on Women. The Company shall not require a complainant to choose between the internal and the external remedy.

RETALIATION AGAINST A COMPLAINANT
Retaliating against a person who has made a complaint of harassment in good faith, or who has given evidence in one, is a Class D offense punishable by dismissal, whether or not the underlying complaint is upheld.

5.10 Mental Health and Non-Discrimination in Health NEW

Under Republic Act No. 11036, the Company shall raise awareness of mental health, provide access to services, and treat a mental health condition as a health matter and not as a disciplinary matter. An employee who seeks help for a mental health condition shall not be penalised, and information about it is confidential medical information.

Under Republic Act No. 11166 (HIV and AIDS), Department Order No. 73-05 (tuberculosis) and Department Order No. 05-10 (Hepatitis B), no employee or applicant shall be required to disclose their status, subjected to compulsory testing as a condition of employment, dismissed, denied a benefit, or discriminated against by reason of actual or perceived status. Such information is strictly confidential.

Where a health condition genuinely affects an employee's ability to do a specific task safely, the Company shall consider reasonable accommodation — a change of task, of schedule, or of assignment — before considering any other action. Separation on the ground of disease requires a certification from a competent public health authority that the disease is of such nature or stage that it cannot be cured within six (6) months even with proper medical treatment, and carries the separation pay provided by law.

PART VI EMPLOYMENT ACTIONS AND SEPARATION

6.1 Promotions, Transfers and Reclassification

The Company supports the growth of qualified employees. Vacancies shall be announced internally before, or at the same time as, they are advertised externally, so that existing employees have a fair opportunity to apply.

- **Lateral transfer.** Movement to another position at the same salary range. The Company may transfer an employee where the business requires it, provided the transfer does not involve a demotion in rank, a diminution of salary or benefits, and is not unreasonable, inconvenient or prejudicial to the employee, and is not used as a form of punishment.
- **Promotion.** Movement to a position with a higher pay grade. Promotion is based on the employee's performance record, demonstrated capability, and the requirements of the position. A newly promoted employee may be placed on a promotional probation of up to six (6) months, during which failure to meet the standards of the new position results in return to the former position at the former rate, and never in dismissal.
- **Reclassification.** A change in the duties attached to an existing job. Where the change is material, it requires the consent of the employee, and where it warrants a change in pay grade, the pay shall be adjusted.

6.2 Performance Evaluation REVISED

Formal performance evaluations are conducted semi-annually for regular employees, and at the third and fifth month for probationary employees. The immediate superior rates the employee against the standards of the position and discusses the rating with them. The employee is entitled to see the completed evaluation, to write comments on it, and to receive a copy.

Where performance falls below standard, the response is a written Performance Improvement Plan (PIP), not discipline. A PIP shall state the specific gaps, the standard to be reached, the support and training the Company will provide, and a review period of not less than sixty (60) days. Only where the employee fails to meet the standard after a genuine PIP may the Company consider separation for gross and habitual neglect or for inefficiency, following Section 3.6.

POOR PERFORMANCE IS NOT MISCONDUCT
An employee who is trying and failing needs training. An employee who is capable and refusing needs discipline. Treating the first as though it were the second is the most common and most expensive mistake an employer makes.

6.3 Termination by the Employer

The Company may terminate employment only for a just cause or an authorized cause, and only after observing the applicable procedure.

Just causes (Article 297) — no separation pay

- Serious misconduct, or willful disobedience of the lawful orders of the employer in connection with the employee's work.
- Gross and habitual neglect of duties.
- Fraud, or willful breach of the trust reposed by the employer in the employee.
- Commission of a crime or offense against the employer, a member of the employer's family, or the employer's duly authorized representative.
- Other causes analogous to the foregoing.

Procedure: the twin-notice rule in Section 3.6 — Notice to Explain, at least five calendar days to answer, an opportunity to be heard, and a Notice of Decision.

Authorized causes (Articles 298 and 299) — with separation pay

AUTHORIZED CAUSE	SEPARATION PAY	PROCEDURE
Installation of labor-saving devices	1 month pay or 1 month per year of service, whichever is higher	Written notice to the employee AND to the DOLE at least 30 days before the effective date
Redundancy	1 month pay or 1 month per year of service, whichever is higher	Same 30-day twin notice; the Company must show fair and reasonable criteria for selection
Retrenchment to prevent losses	1 month pay or 1/2 month per year of service, whichever is higher	Same 30-day twin notice; the Company must prove substantial and imminent losses
Closure or cessation not due to serious losses	1 month pay or 1/2 month per year of service, whichever is higher	Same 30-day twin notice
Closure due to serious business losses	None	Same 30-day twin notice; losses must be proved

AUTHORIZED CAUSE	SEPARATION PAY	PROCEDURE
Disease (Article 299)	1 month pay or 1/2 month per year of service, whichever is higher	Certification by a competent public health authority that the disease cannot be cured within 6 months; 30-day notice

A fraction of at least six (6) months of service is counted as one (1) whole year in computing separation pay.

An employee who is dismissed for a just cause is not entitled to separation pay. The Company may nevertheless grant financial assistance as an act of compassion where the cause did not involve serious misconduct or an act reflecting on moral character.

6.4 Resignation REVISED

An employee who intends to resign shall serve a written notice at least thirty (30) calendar days before the intended date of effectivity, so that the Company can arrange a proper turnover and, where a client site is involved, inform the client. The Company may waive all or part of the notice period.

An employee may resign without serving the thirty-day notice, and without liability, for any of the just causes in Article 300(b) of the Labor Code: serious insult by the employer or its representative on the honour and person of the employee; inhuman and unbearable treatment; commission of a crime against the employee or their immediate family by the employer or its representative; and other analogous causes.

THE TWO-MONTH LIQUIDATED DAMAGES CLAUSE IS WITHDRAWN

The previous edition provided that an employee who failed to serve thirty days' notice "shall be liable for liquidated damages equivalent to at least two (2) months' salary". That provision is withdrawn.

An employer who suffers actual damage from an abrupt resignation may claim that damage in the proper forum, but it must prove the damage. What the Company may NOT do is withhold final pay, withhold a Certificate of Employment, or deduct a penalty from wages because notice was short. Those acts expose the Company to a money claim and to an illegal deduction finding.

A resignation once accepted may be withdrawn only with the consent of the Company. An employee shall not be pressured into resigning in lieu of facing a disciplinary proceeding; a resignation obtained that way is not voluntary.

6.5 Final Pay, Clearance and Certificate of Employment NEW

Final pay shall be released within thirty (30) calendar days from the date of separation, in accordance with DOLE Labor Advisory No. 06-20, unless a more favourable company policy or agreement provides for an earlier release. Final pay includes:

- unpaid earned salary up to the last day actually worked;
- pro-rated 13th month pay;
- cash conversion of unused Service Incentive Leave credits;
- separation pay, where the separation is for an authorized cause or is otherwise required;
- retirement pay, where applicable;
- any other amount due under company policy, an individual agreement, or a collective agreement.

Clearance. The employee shall return all company property — tools, instruments, ID, uniforms, phone, laptop, keys, documents — and settle accountabilities. Clearance shall be processed promptly and shall not be used to delay final pay beyond the thirty-day period. Where a specific accountability is disputed, the Company shall release the undisputed portion of the final pay on time.

Certificate of Employment. A Certificate of Employment stating the dates of engagement and separation and the position or positions held shall be issued within three (3) days of request, at any time, whether the employee resigned or was dismissed, and whether or not clearance has been completed. Issuance shall never be made conditional on the signing of a quitclaim.

Quitclaims. A quitclaim is voluntary. An employee is entitled to read it, to take it away, and to seek advice before signing. A quitclaim signed for a sum clearly less than what is legally due, or signed under pressure, does not bar a later claim.

Exit interview. Separating employees are invited to an exit interview. It is voluntary. Its purpose is to gather information for improving company policy, and what is said in it shall not affect the employee's final pay, Certificate of Employment or re-employment eligibility.

ANNEXES FORMS AND REFERENCE NEW

The forms in these Annexes are the standard forms of the Human Resources Department. They may be reproduced and completed by hand or electronically. Using them is not optional: a disciplinary action recorded on anything else is harder to defend, and a Notice to Explain that omits any of the elements in Annex A is legally defective.

They fit together in order. Annex A goes out first; Annex B comes back from the employee; Annex C is issued only if a conference is to be held; Annex D is the panel's working paper and is never given to the employee; Annex E closes the case and is served on the employee. Annex F is a planning checklist for HRD rather than a case form, and Annex G is signed once, on receipt of this Code, and filed in the 201 file.

ANNEX A — NOTICE TO EXPLAIN

Reference No. ______________________________

Date issued ______________________________

Employee name ______________________________

Position / Department ______________________________

Immediate superior ______________________________

You are hereby directed to explain in writing why no disciplinary action should be taken against you for the act or omission described below.

1. Specific act or omission complained of (state WHAT was done, and the DATE, TIME and PLACE):

____

____

2. Provision of the Code of Discipline or company rule violated (state the section number and the offense):

____

____

3. Class of offense and penalty being considered:

____

4. Your right to explain. You are required to submit a written explanation to the Human Resources Department within five (5) calendar days from your receipt of this notice, that is, on or before ________________________. You may attach any document and name any witness. You may be assisted by a representative or counsel of your own choosing, at your own expense, and may request an extension in writing.

5. Administrative conference. A conference will be scheduled if you request one, if the facts are disputed, or if dismissal is being considered. You will be given written notice at least three (3) working days in advance.

6. Failure to respond. If you do not reply within the period given and do not ask for an extension, the case will be decided on the records available. Failure to reply is not by itself an admission.

7. If the employee refuses to receive or sign. Annotate the refusal below before a witness, and send a copy to the employee's last known address by registered mail or courier.

____

______________________________	______________________________
Issued by (HRD) — Signature over printed name	Received by (Employee) — Signature and date

TXTAIRE OPC · Human Resources Department
Form CD-02 | Code of Discipline, Series 2, 2026 Edition

ANNEX B — EMPLOYEE WRITTEN EXPLANATION

NTE Reference No. ______________________________

Date of this reply ______________________________

Employee name ______________________________

Position / Department ______________________________

My explanation (state your side of the facts; attach additional sheets and documents if needed):

____

____

____

____

____

____

____

____

____

____

Documents attached:

____

Witnesses I wish to present (name and what each will say):

____

Please indicate:

[ ] I request an administrative conference.
[ ] I do not request a conference and submit the matter on this written explanation.
[ ] I will be assisted by a representative or counsel: ________________________________

______________________________ ______________________________
Employee — Signature over printed name | Date and time received by HRD

ANNEX C — NOTICE OF ADMINISTRATIVE CONFERENCE

NTE Reference No. ____________________

Date issued ____________________

Employee name ____________________

Position / Department ____________________

Date of conference ____________________

Time ____________________

Venue ____________________

An administrative conference will be held on the date, time and place stated above in connection with the Notice to Explain referred to above. At the conference you will be given the opportunity to explain your side, to present documents and witnesses, and to answer questions about the matter.

You may be assisted by a representative or counsel of your own choosing, at your own expense. Please bring any document you wish the panel to consider.

The technical rules of evidence do not apply. If you cannot attend on the scheduled date for a valid reason, notify HRD in writing before the schedule so that it may be reset. If you do not appear and give no valid reason, the case will be decided on the records.

PANEL / OFFICERS PRESENT	NAME AND POSITION
Chair (HR Head)	
Member (Department Head)	
Member (peer of respondent)	
Recorder	

____
Issued by (HRD)

____
Received by (Employee) — Signature and date

ANNEX D — CASE EVALUATION FORM

Case / NTE Reference No. ______________________

Employee name ______________________

Position / Department ______________________

Date of incident ______________________

Date of NTE ______________________

Date explanation received ______________________

Date of conference ______________________

1. Findings of fact (what the panel finds actually happened, and on what evidence):

____

____

2. Provision of the Code violated, and class of offense:

____

3. The employee's explanation, and whether it is accepted — with the reason why or why not:

____

4. Prior record within the last twelve (12) months (list each prior penalty and its date; state "none" if none):

____

5. Mitigating circumstances considered (Sec. 3.5)	6. Aggravating circumstances considered (Sec. 3.5)

7. Penalty under the schedule (Sec. 3.4), and recommended penalty if different — with the reason for the difference:

____

8. Restitution, if any, and whether the employee has given written authorization for any deduction (Sec. 3.12):

____

______________________	______________________	______________________
Panel Chair	Member	Member

Action of the Owner / General Manager:

____

ANNEX E — NOTICE OF DECISION

Case / NTE Reference No. ______________________________

Date issued ______________________________

Employee name ______________________________

Position / Department ______________________________

After considering the Notice to Explain dated _______________, your written explanation dated _______________, the administrative conference held on _______________, and the evidence on record, the Company has reached the following decision.

1. Findings:

____

____

2. Provision of the Code of Discipline violated:

____

3. Why your explanation was accepted / not accepted:

____

____

PENALTY IMPOSED	DETAILS
[ ] No penalty — case dismissed	
[ ] Verbal Warning	
[ ] Written Warning	
[ ] Suspension	Number of working days: ________ From: ____________ To: ____________
[ ] Dismissal	Effective date of separation: ________________________

Your right of appeal. You may ask for reconsideration by filing a written Letter of Appeal with HRD within five (5) calendar days from receipt of this notice, stating the grounds and attaching any new evidence. It will be resolved in writing within fifteen (15) calendar days. Nothing here limits your right to bring the matter before the DOLE or any other body having jurisdiction.

____
Approved by (Owner / General Manager)

____
Received by (Employee) — Signature and date

ANNEX F — COMPLIANCE CHECKLIST AS HEADCOUNT GROWS

Several legal obligations are triggered by headcount, and the Company expects to grow from about twenty (20) to about one hundred (100) within the next year. This checklist is for HRD's planning. It is a summary, not a substitute for the issuances themselves; confirm current thresholds with the DOLE Regional Office before each milestone.

HEADCOUNT	WHAT MUST BE IN PLACE	SOURCE
Any size	Register the establishment with DOLE (Rule 1020); keep an OSH programme; provide free PPE; keep an accident logbook; report accidents and illnesses.	*RA 11058 / DO 198-18*
Any size	Constitute a Committee on Decorum and Investigation; post the anti-sexual harassment policy conspicuously; conduct gender sensitivity orientation.	*RA 7877 / RA 11313*
Any size	Adopt and post a workplace policy and programme on HIV and AIDS, tuberculosis, Hepatitis B, drug-free workplace and mental health.	*RA 11166, DO 73-05, DO 05-10, DO 53-03, RA 11036*
Any size	Provide a lactation station and lactation breaks; maintain the required first aid kit.	*RA 10028*
Any size	Register with SSS, PhilHealth and Pag-IBIG; remit contributions on time; issue itemised payslips.	*SSS, PhilHealth, HDMF laws*
10 or more	Appoint at least one certified first-aider and a trained Safety Officer 1; all workers to complete the mandatory 8-hour OSH seminar.	*DO 198-18*
10 or more	Post the Code of Discipline and other work rules where employees can read them; keep employment records at the workplace.	*Labor Code, Rule X*
11 to 50	Constitute the Health and Safety Committee; appoint a Safety Officer 2 where the workplace is classified as high risk (electrical, work at height, confined space — which covers much of the Company's field work).	*DO 198-18*
21 or more	Employ a part-time occupational health physician and nurse, or arrange the required retainer and referral where the workplace is low risk.	*OSHS Rule 1960*
50 or more	Employ a full-time Safety Officer 2 (or higher, per risk classification); expand the Health and Safety Committee; maintain a treatment room or clinic as required by risk classification.	*DO 198-18 / OSHS Rule 1960*
51 or more	Consider formalising a grievance machinery and a written salary structure; review whether a rank-and-file union may seek recognition and prepare HR accordingly.	*Labor Code, Book V*
100 or more	Employ a full-time safety officer and, depending on risk classification, a full-time occupational health nurse; maintain an emergency clinic; expand the Family Welfare Programme.	*DO 198-18 / OSHS*
200 or more	Establish a Family Welfare Programme with a designated coordinator; review the requirement for a full-time physician and dentist.	*DOLE Family Welfare Program*

TWO THINGS TO DO BEFORE HEADCOUNT REACHES FIFTY

First, appoint and train the Safety Officer now rather than at the threshold. Certification takes time, and the Company's field work — electrical, refrigerant under pressure, rooftop and elevated work — is high risk regardless of headcount.

Second, put the Administrative Review Panel on a proper footing. At twenty employees the Panel will often be the same three people. At one hundred it must be possible to constitute a Panel with no one who has an interest in the case. Identify and train a pool of at least six potential members.

ANNEX G — EMPLOYEE ACKNOWLEDGMENT AND CONFORME

I acknowledge that I have received a copy of the TXTAIRE OPC Code of Discipline, Series 2, 2026 Edition.

I confirm that its contents were explained to me, that I had the opportunity to ask questions about any provision I did not understand, and that my questions were answered.

I understand that this Code sets out the Company's ethical standards, the conduct expected of me, the offenses recognised by the Company and the corresponding penalties, and the procedure that the Company will follow before any penalty is imposed on me.

I understand that I am entitled to written notice of any accusation against me, to at least five (5) calendar days to answer it in writing, to be heard, to be assisted by a representative or counsel of my own choosing, and to appeal any decision.

I understand that this Code takes effect thirty (30) days from its distribution, that it replaces the Series 1, 2025 Edition in its entirety, and that it may be amended by the Company in writing, provided no amendment reduces a benefit I am already enjoying or applies retroactively to an act already done.

I understand that where any provision of this Code conflicts with the Labor Code of the Philippines, its Implementing Rules, or a DOLE issuance, the law prevails.

______________________________	______________________________
Employee — Signature over printed name	Received and witnessed by (HRD)
Position / Department: ______________________	Date: ______________________

FOR HRD

File the signed original in the employee's 201 file. Give the employee a copy of this page together with their copy of the Code. Record the date of distribution in the HRD register — the thirty-day effectivity period, and the Company's ability to prove that the Code was actually communicated, both run from that date.